Investor Briefing & Q1 2016 Performance

April 2016

Presentation Outline

1. Macro-economic overview
2. Governance & leadership structure
3. Regional expansion and diversification
4. Digital bank
5. SME strategy
6. Qualitative analysis
7. Performance of core business (intermediation)
8. Financial performance

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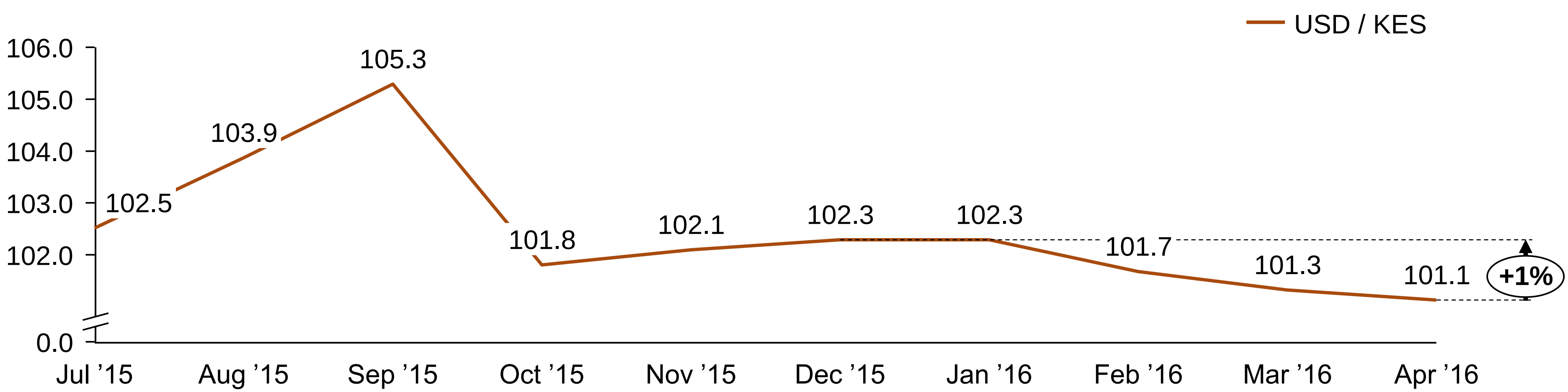
Foreign Exchange Rate - Kenya

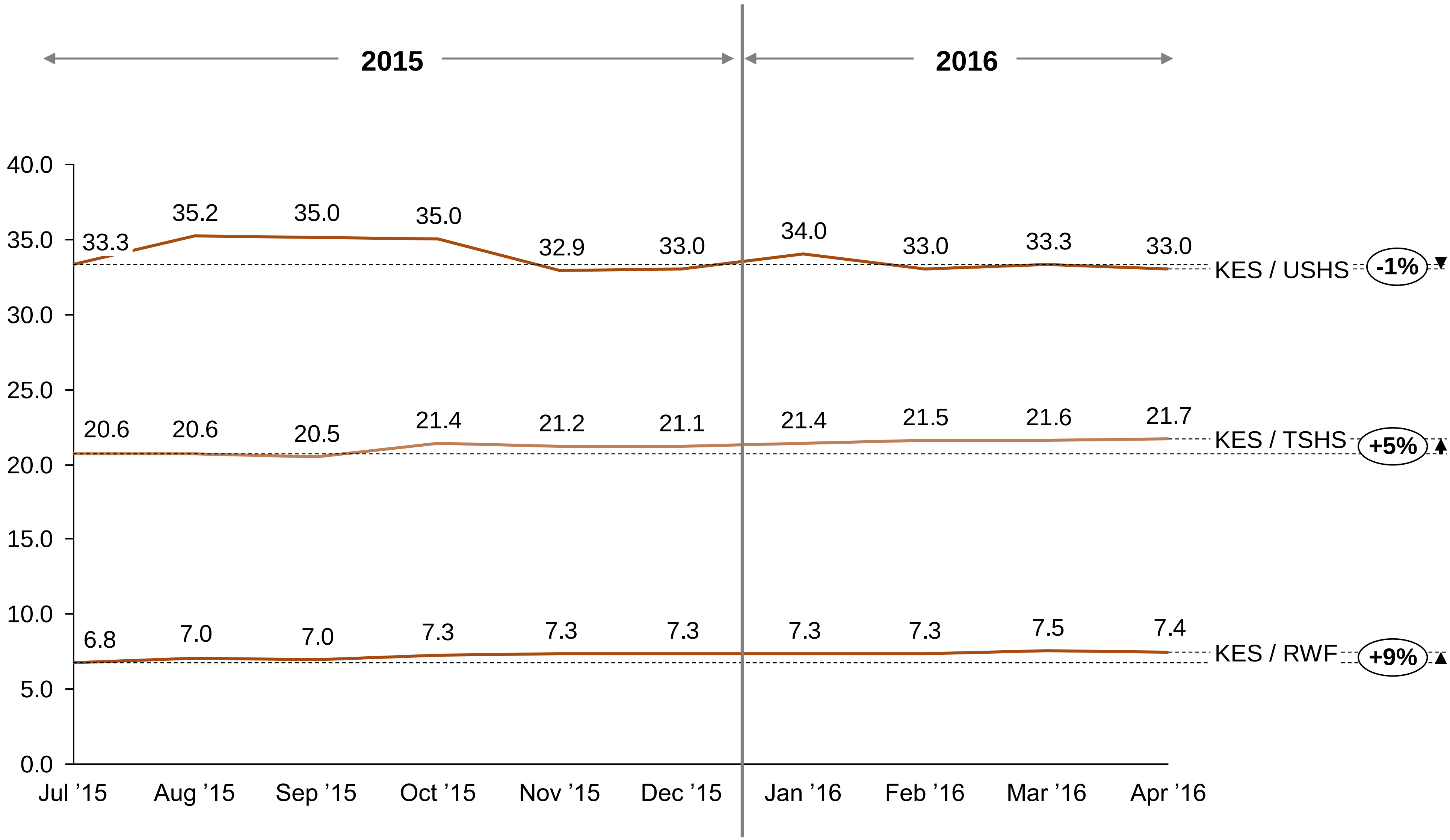
- The Kenya Shilling has appreciated by 1.0% on a YTD basis against the USD



- Stability in the foreign exchange market continues to be supported by an improved forex reserves currently at USD 7.6 billion (equivalent to 4.96 months of import cover) and a narrowing current account deficit largely due to the following:
  - A lower import bill for petroleum products
  - Recovery in tourism, tea and horticulture exports
  - Slowdown in consumer imports
  - Strong diaspora remittances.

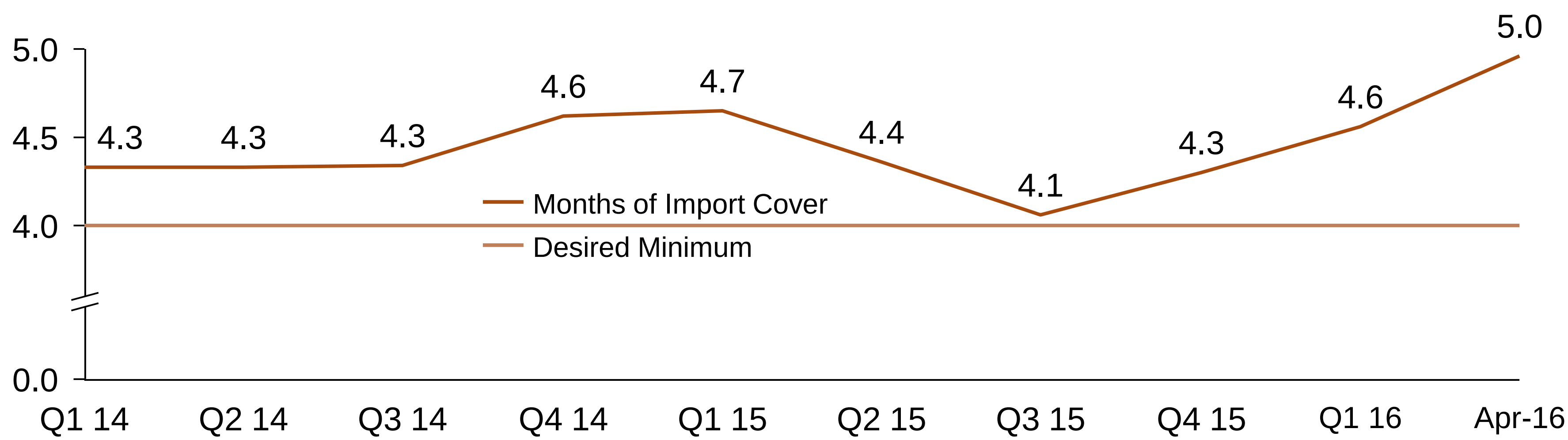
KES vs East African Currencies

The Kenya Shilling maintained stability against the regional currencies in 2016



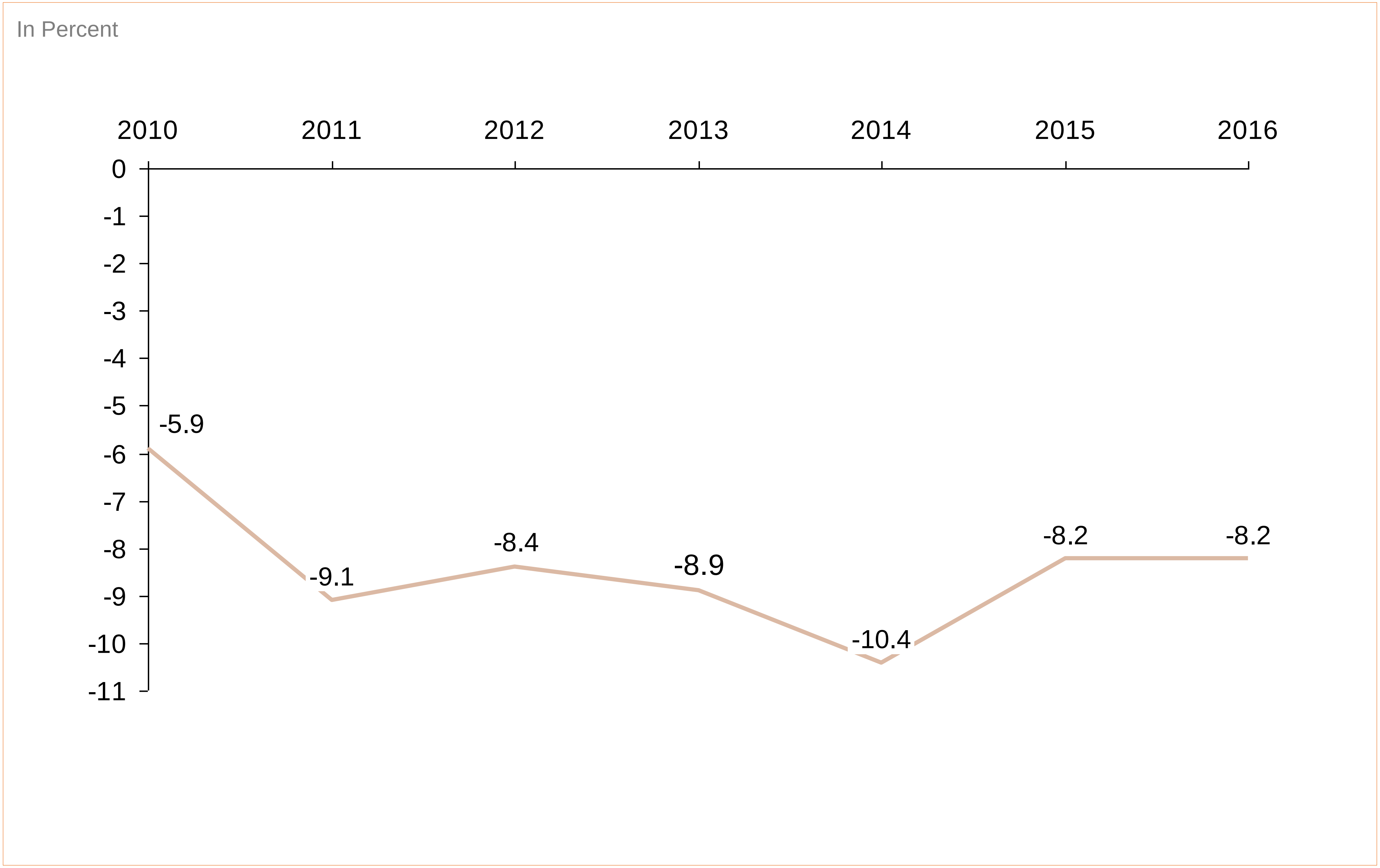
FX Reserves - Kenya

- FX reserves have risen to five months of import cover giving a significant cushion to the shilling
- Reserves currently stand at $7.62 billion amounting to 4.96 months of import cover.



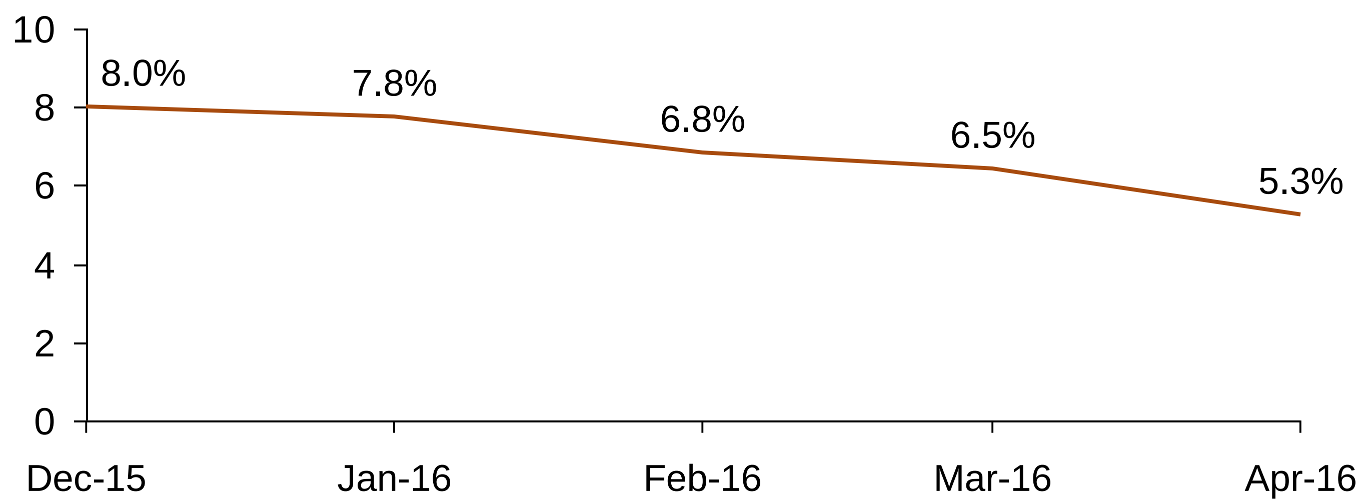
- Key reasons for increase in reserves are:
  i. Lower oil prices
  ii. Falling current account deficit (currently 8.2% of GDP)
  iii. Increased exports and inflow from tourism

Current Account balance as a % of GDP - Kenya



Inflation - Kenya

- The latest inflation figure as at end of April was 5.3% (down from 6.45% in March) due to
  - Food prices (food index is down due to the rains)
  - Low fuel prices



Interest Rates

- Due to the high liquidity in the market, interest rates have been dropping since the beginning of February

	2015							2016			
	Jul	Aug	Sep	Sep-Oct Peak	Oct	Nov	Dec	Jan	Feb	Mar	Apr
Interbank rate	12.89%	18.81%	19.84%	25.84%	14.87%	8.77%	5.19%	6.13%	4.51%	4.09%	4.05%
91 Days T. Bill	11.33%	11.51%	18.61%	21.35%	22.13%	9.21%	10.41%	11.76%	9.32%	8.41%	8.77%
182 Days T. Bill	12.15%	12.36%	14.55%	21.61%	22.29%	10.09%	12.34%	14.18%	11.93%	10.66%	10.69%
364 Days T. Bill	12.53%	13.82%	16.30%	21.50%	22.36%	11.93%	12.75%	14.92%	13.25%	11.91%	11.80%

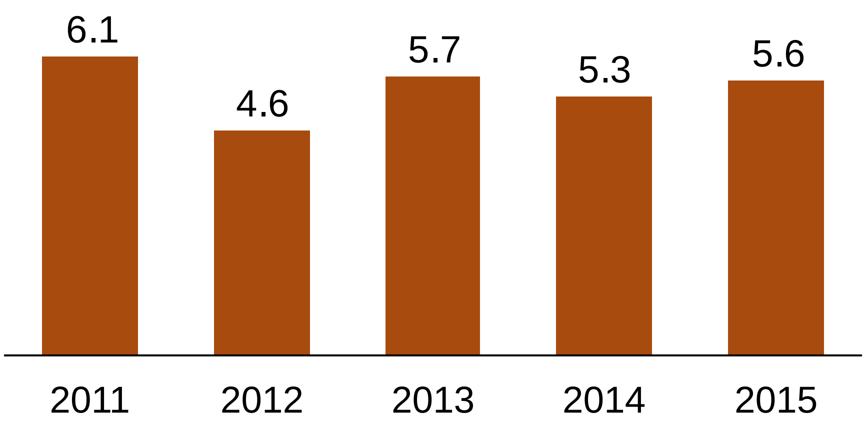
- On March 21st 2016, the MPC met and retained the CBR Rate at 11.5% (keeping it at the same level for the last 9 months)
- The MPC had earlier also retained the KBRR at 9.87% (on Jan 20th 2016)

Kenya's Resilient Economy

- Kenya's GDP growth rate maintained an upward growth rate with an increasing momentum while Africa is experiencing declining growth rate.

- Kenya's Gross Domestic Product (GDP) is estimated to have expanded by 5.6% in 2015 which was a slight improvement compared to a 5.3% growth in 2014.

- Kenya's GDP growth rate is projected to rise to 5.9% in 2016 and 6.1 % in 2017 predicated on infrastructure investments. Fiscal consolidation is expected to ease pressure on domestic interest rates and increase credit uptake by the private sector. The contraction in the current account deficit will continue to be supported by declining commodity prices and rising exports of tea.



Economic growth drivers

- Kenya Tourism showing positive signs of recovery with enhanced security with Kenya registering the highest growth of 27% in Hotel Bookings For The Period May To July In Africa. Government incentive on reduction of park entry fees from $90 to $60 and More chartered airlines from Europe to Mombasa, have boosted the sector.

- Kenya recorded the fastest rise in foreign direct investments (FDI) in Africa and the Middle East, at 47%. A total of 84 projects worth Sh102 billion from real estate, renewable and geothermal energy as well as roads and railways provide a huge chunk of new jobs for Kenyans. Kenya was ranked 3rd in terms of numbers of projects initiated after the United Arab Emirates (UAE) at 298 and South Africa at 118.

- Kenya's Agriculture Experiencing Renewed Growth As A Result Of Improved Weather And Rainfall Pattern. According to the KNBS economic Survey , Agriculture value added rose from 3.5% in 2014 to 5.6% in 2015. Total value of marketed production at current prices increased by 11.3% from KSh 333.2 billion in 2014 to KSh 371.0 billion in 2015. Total earnings from crop sales increased by 15.5% to KSh 271.8 billion in 2015.

Macro-economic Indicators – East Africa

Macro-Economic Indicators Summary (East Africa)

	Uganda	Rwanda	Tanzania	DRC
91 Days T-Bill	15.56%	5.89%	9.02%	4.7%
182 Days T-Bills	16.28%	6.21%	17.67%	5.4%
364 Days T-Bills	16.19%	8.35%	18.81%	8.1%
Central Bank Rate	16.0%	12.0%	12.0%	6.5%
Inflation	6.2%	5.8%	5.4%	4.5%

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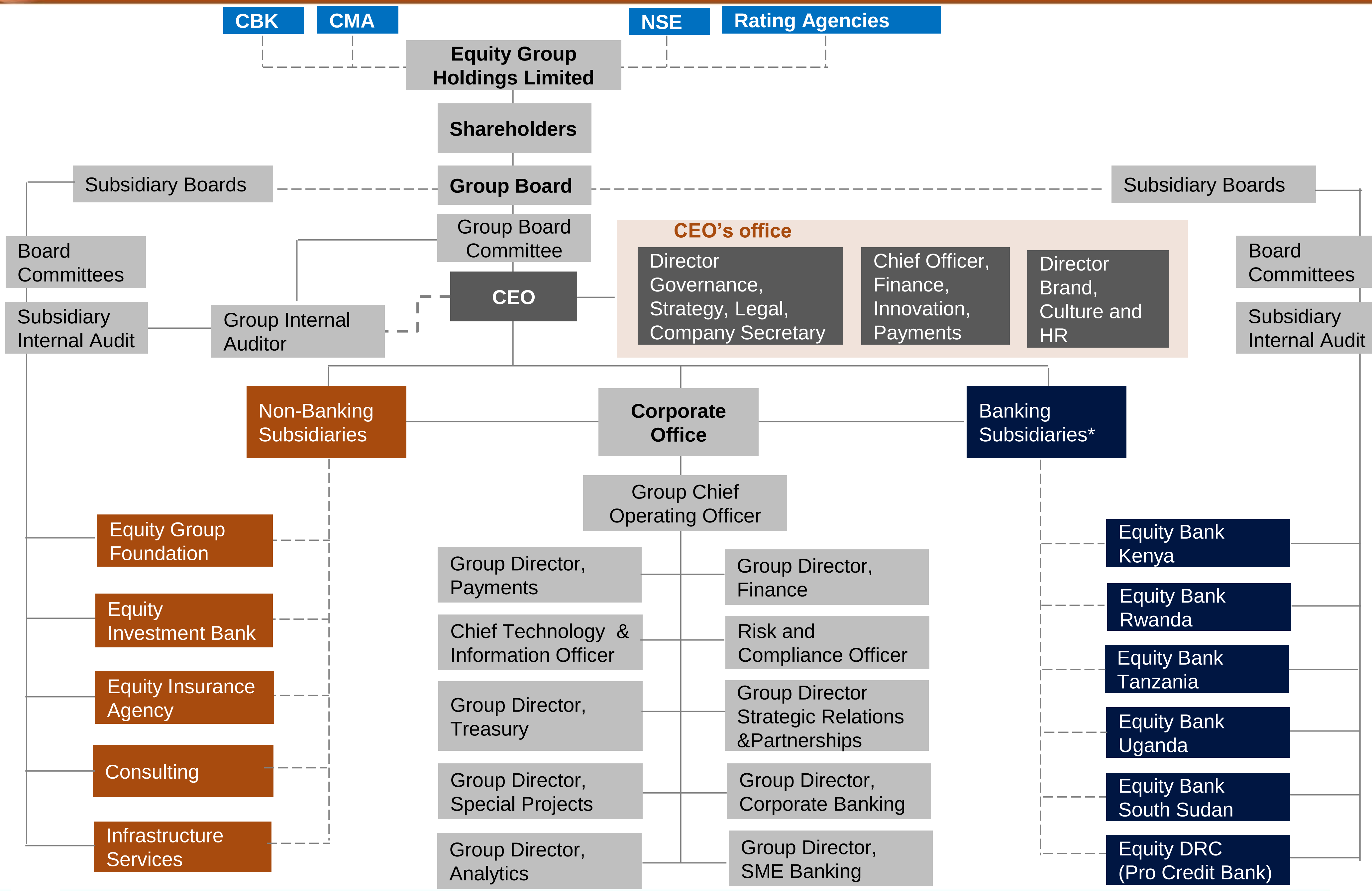
Strong Governance & Leadership Structure



Each subsidiary with own Board of Directors compliant with local regulations

Presentation Outline

3 Regional Expansion – Key Metrics for Banking Subsidiaries

KES "Billion"

	Tanzania	Rwanda	Uganda	S. Sudan	DRC	Regional Total	Regional Contribution Q1 2016	Regional Contribution Q1 2015
Deposits	12.8	10.5	12.5	10.5	20.7	**67.0**	**22%**	**21%**
Deposits Growth	1%	23%	21%	-61%	31%	**14%**		
Loan	15.4	8.6	7.0	0.4	14.2	**45.5**	**17%**	**13%**
Loan Growth	37%	21%	-1%	-89%	71%	**56%**		
Assets	21.0	13.9	17.0	14.4	28.8	**95.0**	**21%**	**20%**
Asset Growth	21%	19%	12%	-57%	49%	**23%**		
PBT	0.08	0.06	0.09	0.02	0.07	**0.32**	**5%**	**10%**
PBT Growth	-12%	-50%	2%	-95%	-41%	**-45%**		

Regional Subsidiaries – Size and Contribution
(Assets and PBT contribution by countries)

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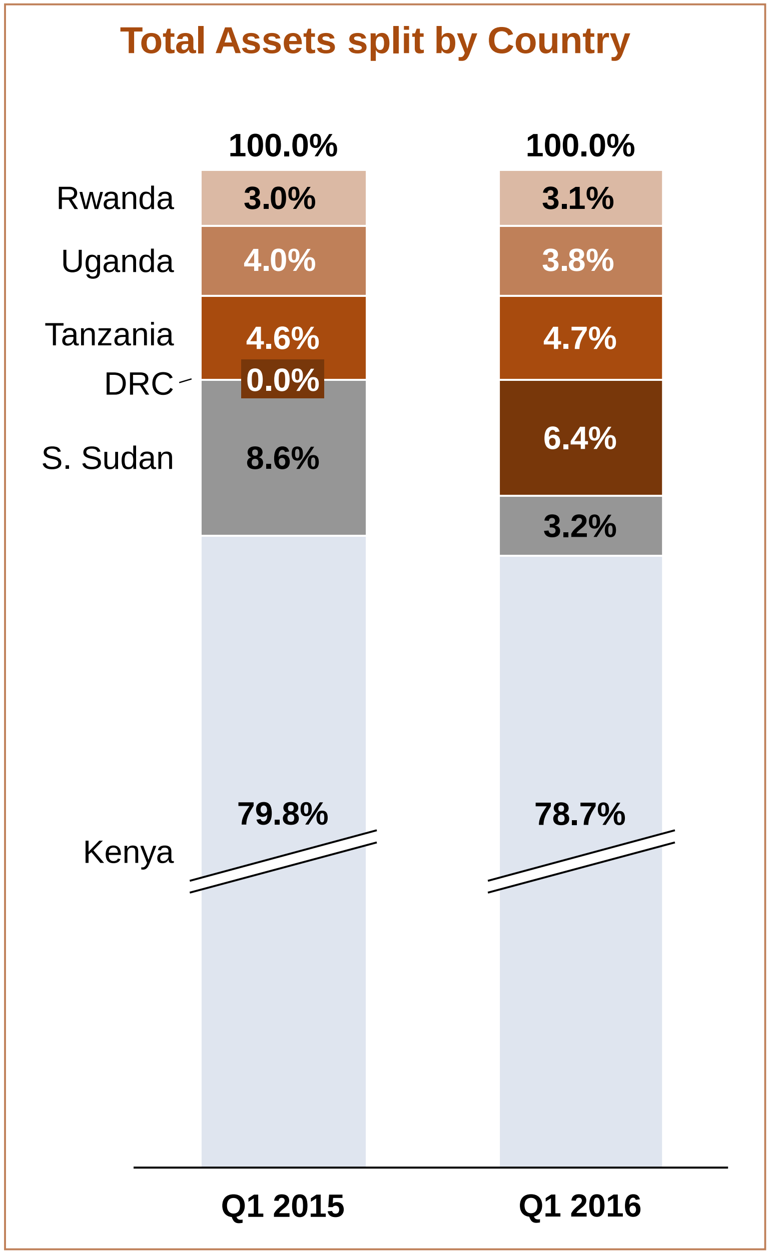
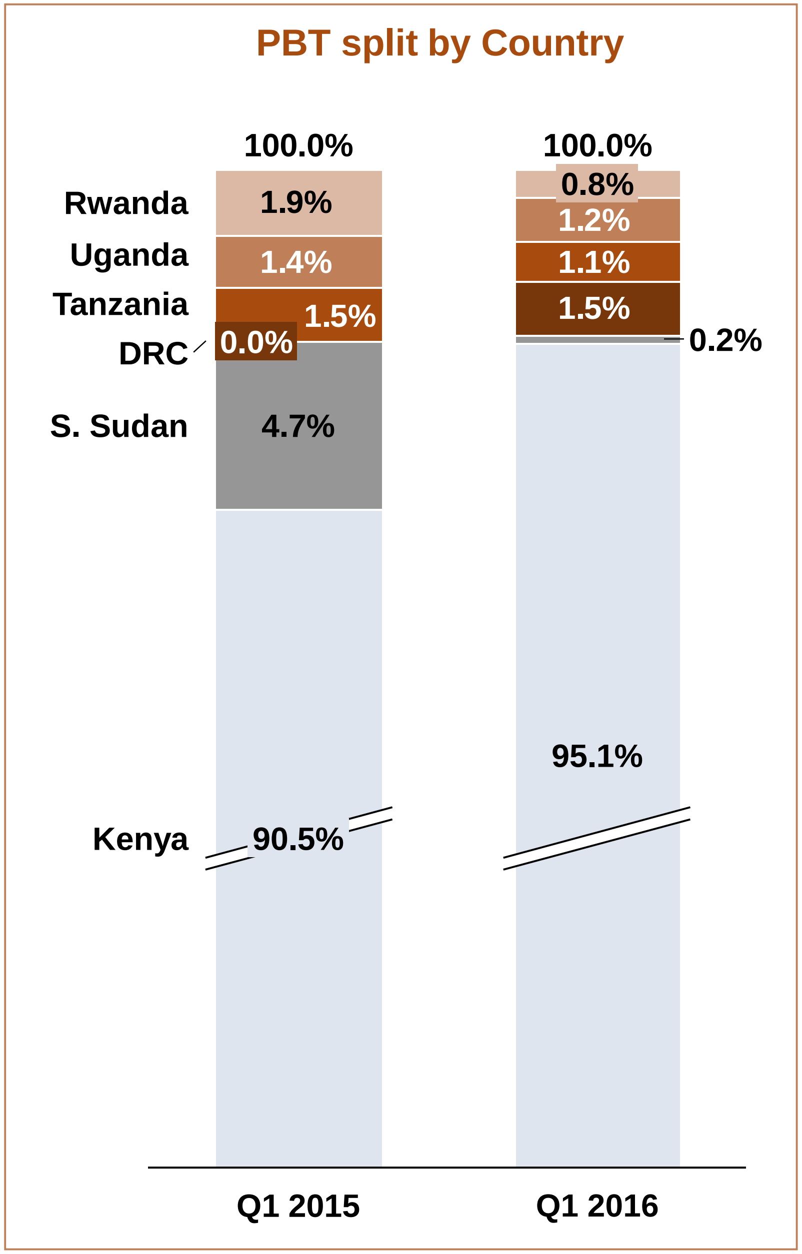
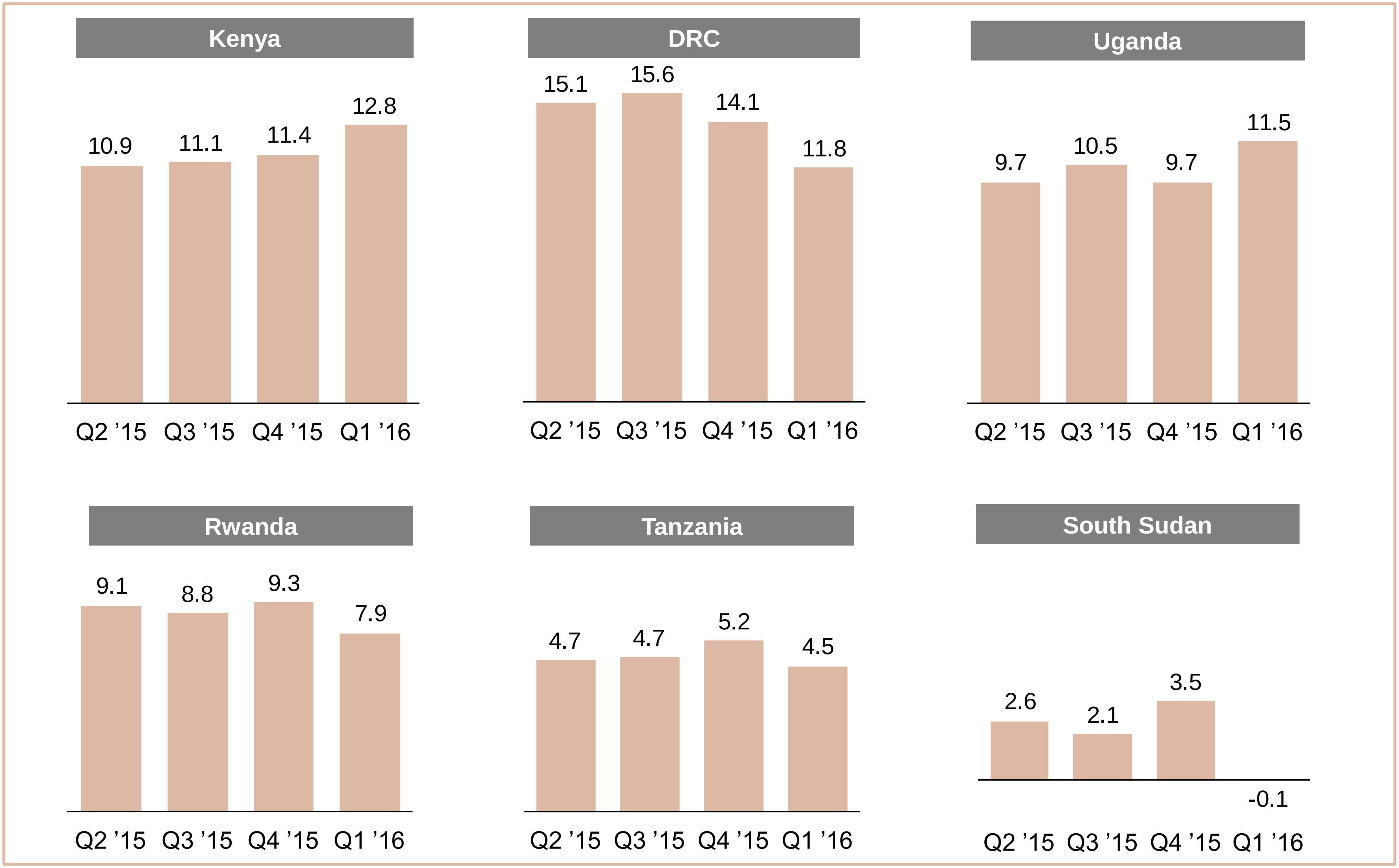




Net Interest Margin

Percentage



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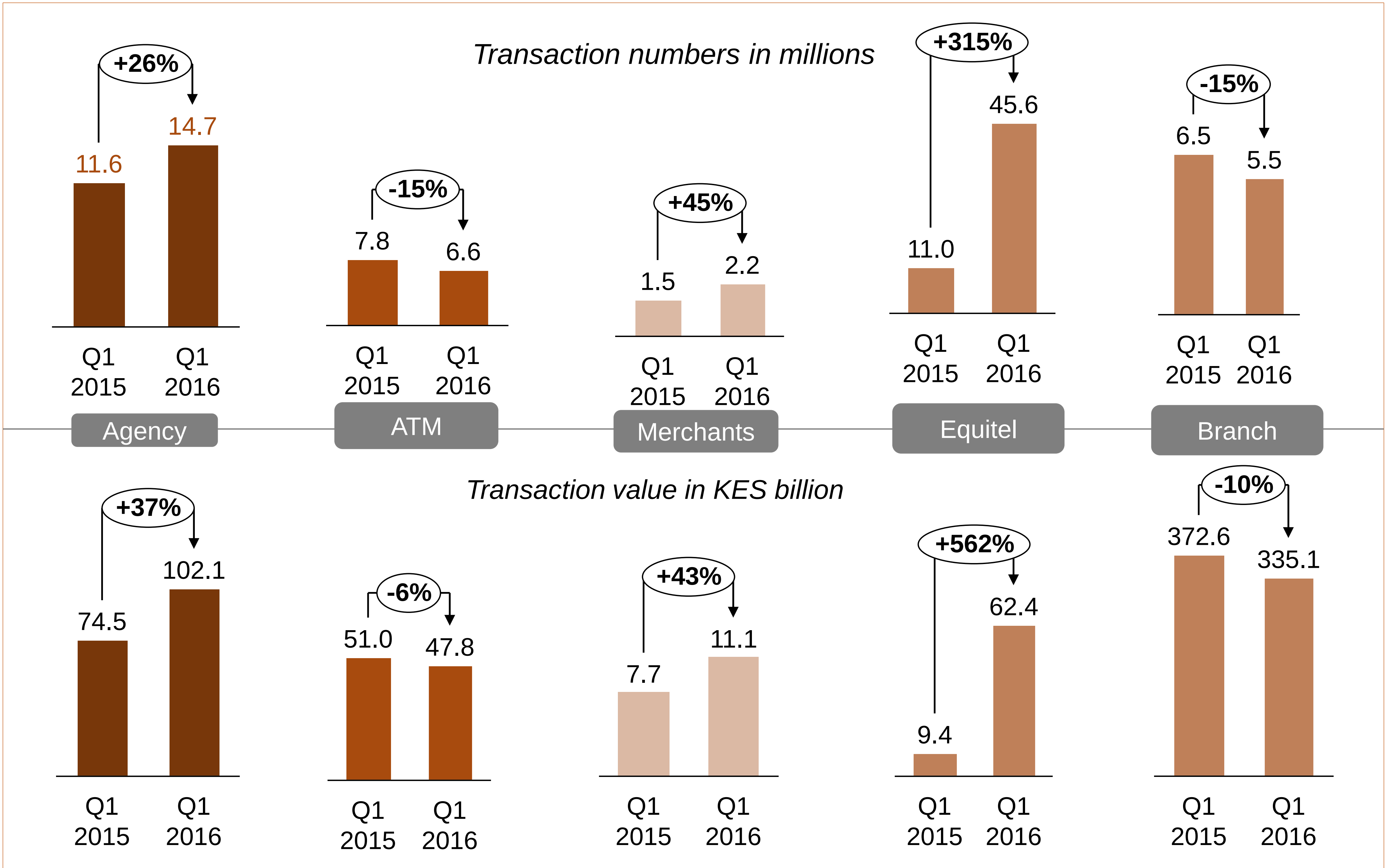
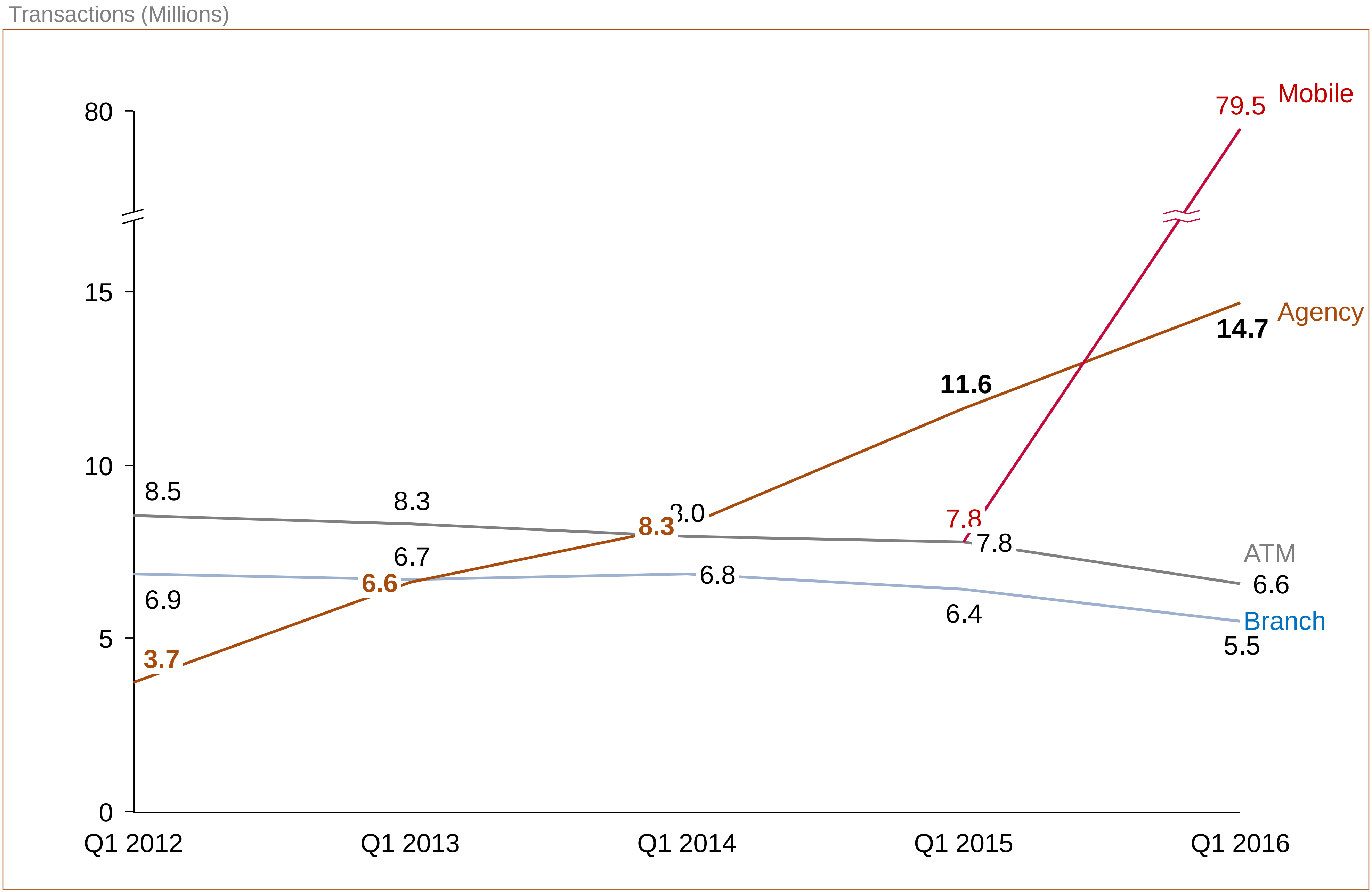
Execution on Digital Banking

(Increased number of Transaction numbers & values)



Execution on Digital Banking
(Transaction numbers trend)



Cash related transactions only

Execution on Digital Banking

(Equitel customer numbers up 180% growth YoY)

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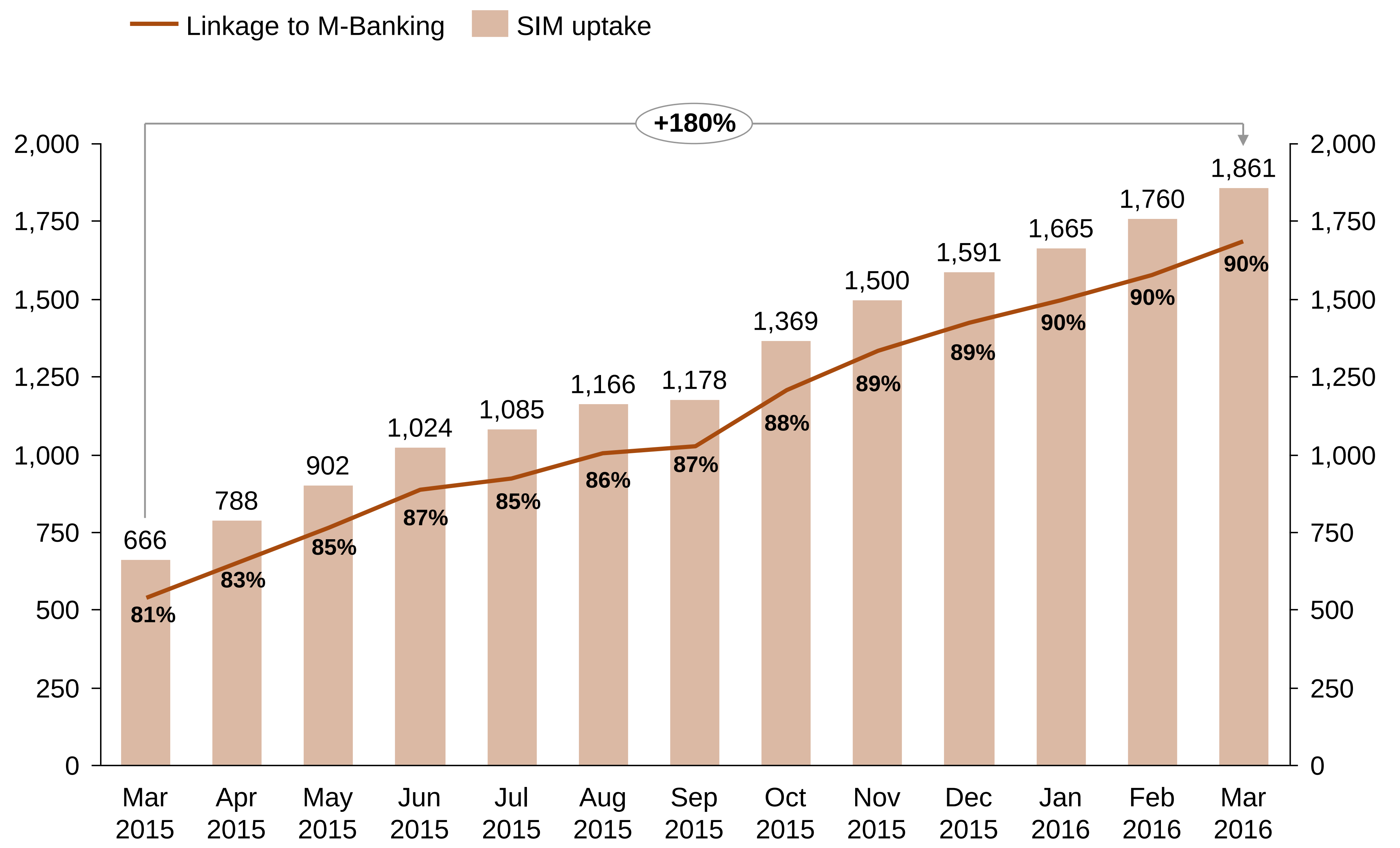
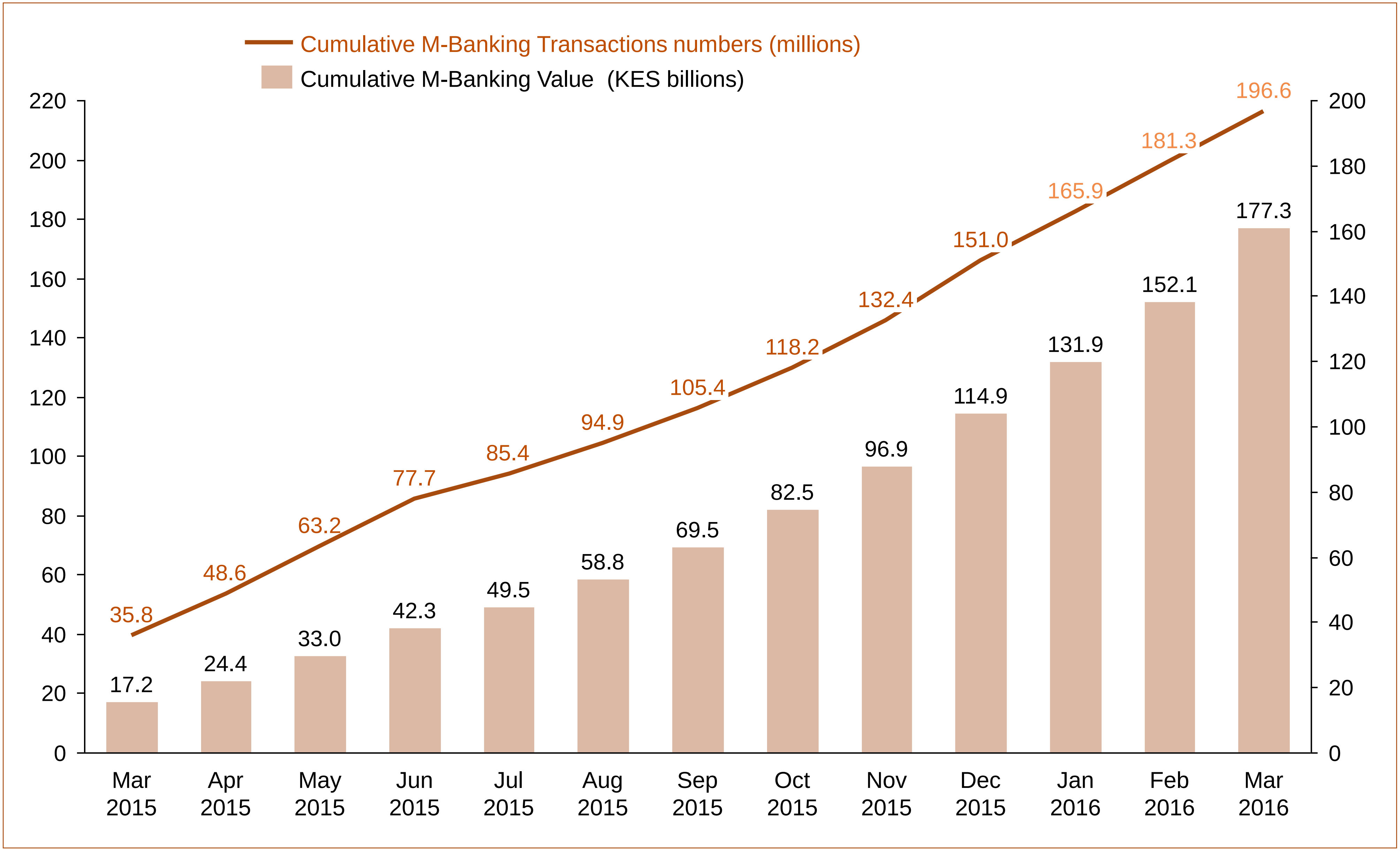
KES "000"



Execution on Digital Banking
(Mobile Customer Transaction Numbers & Value Trend)



Execution on Digital Banking

(Count of loan disbursements through Mobile vs. Branch)

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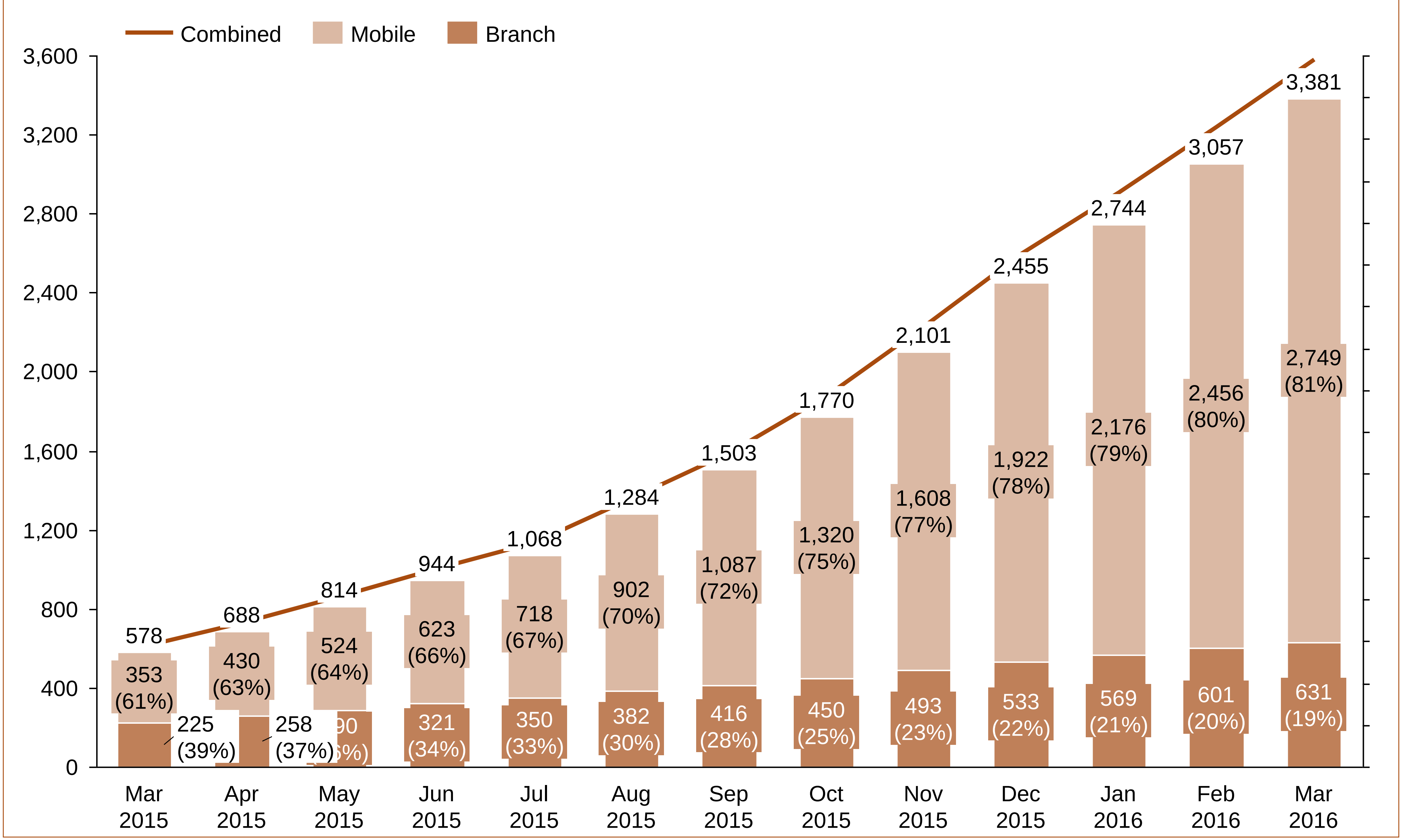
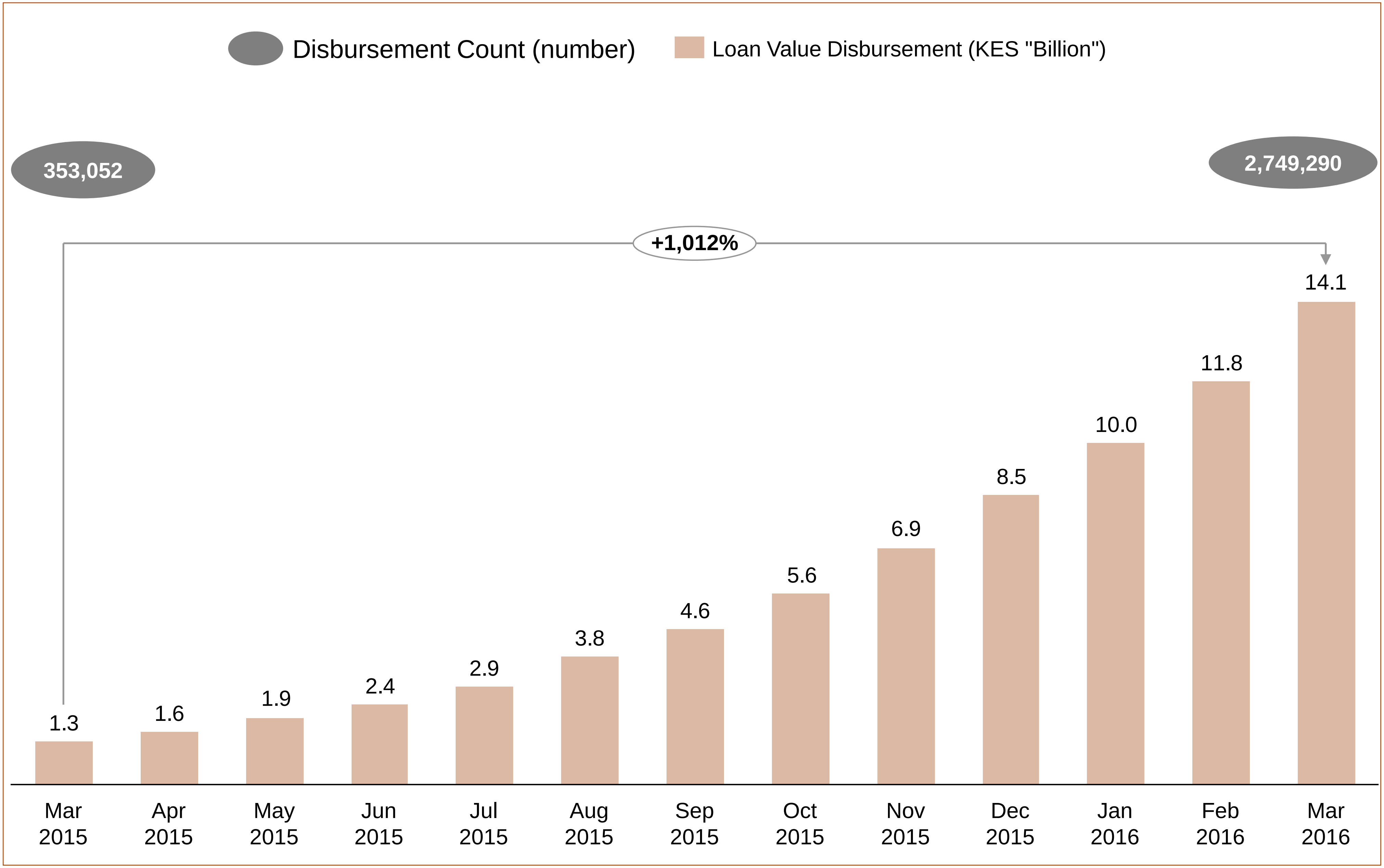
In Thousands



Cumulative

Execution on Digital Banking
(KES 14.1 billion Disbursed through Mobile Channel)

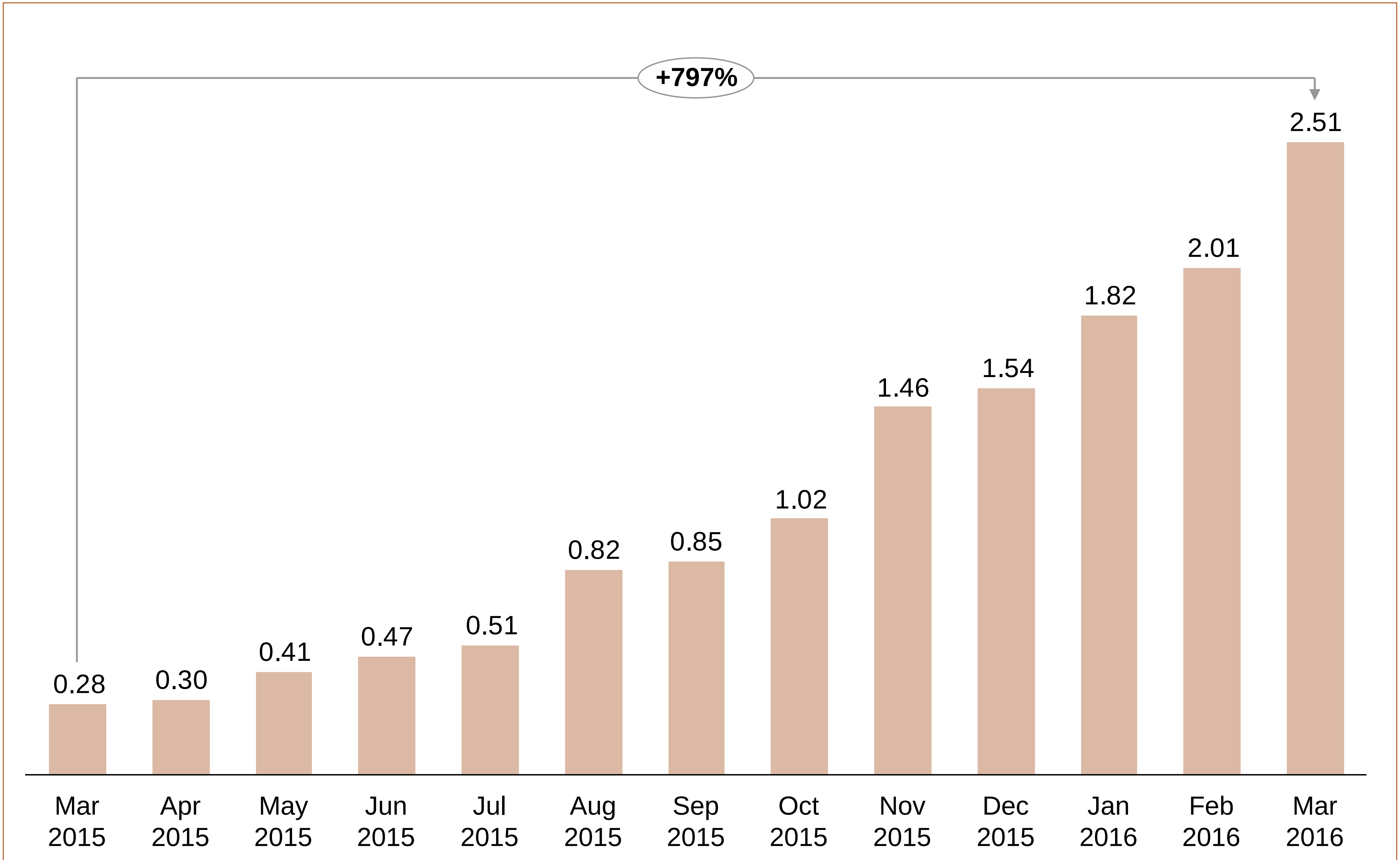


Cumulative figures

Execution on Digital Banking

(Loan Outstanding Trend)

In Billions



Execution on Digital Banking
(Loan Repayment Trend)

4

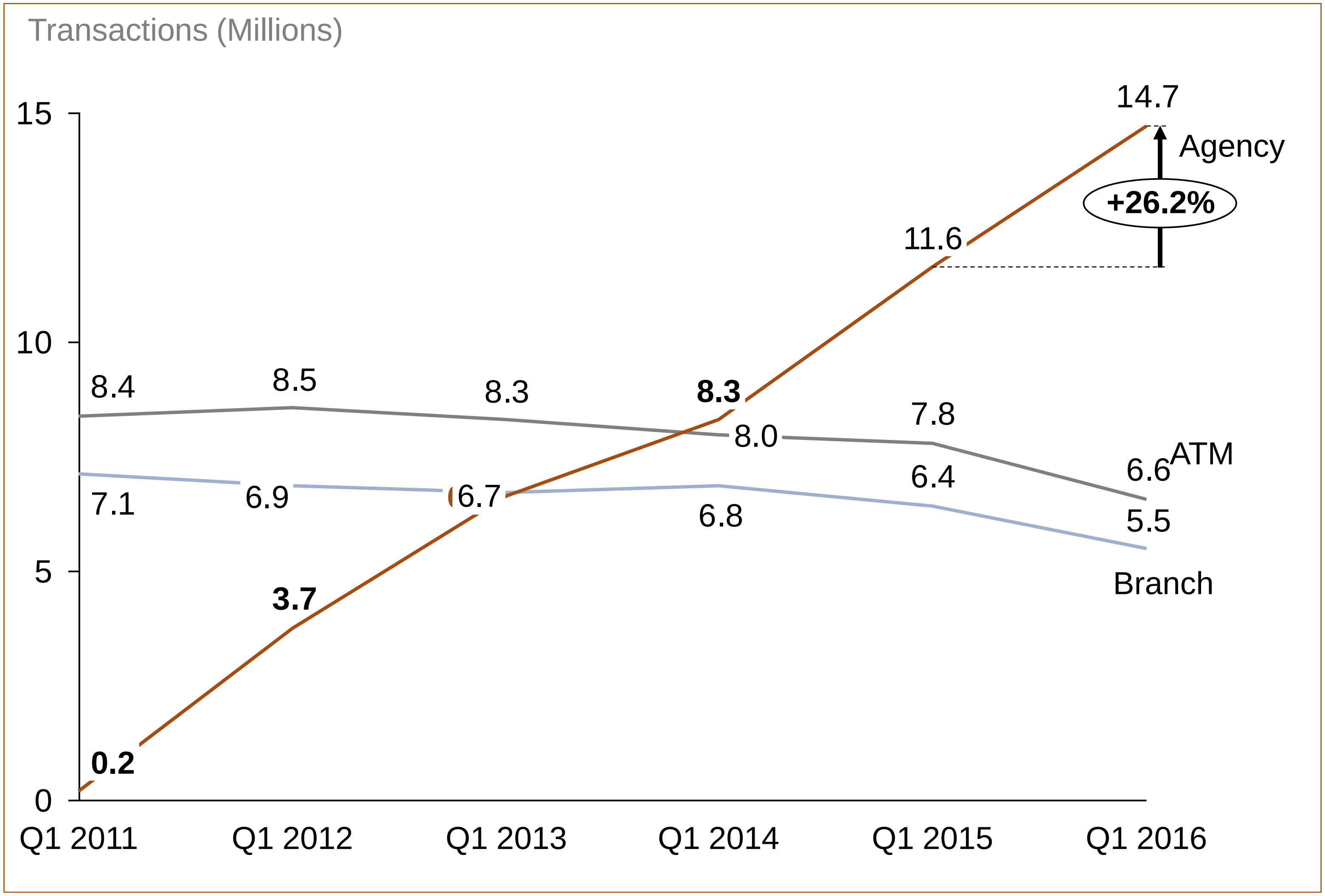
BREAKDOWN OF AMOUT REPAID PER MONTH AS AT MAR' 31ST											
MONTH	DISB AMOUNT	PERIOD 0	PERIOD 1	PERIOD 2	PERIOD 3	PERIOD 4	PERIOD 5	PERIOD 6	PERIOD 7	CUMMULATIVE REPAYMENTS	% REPAYMENT RATE
AUG	616,675,609.00	156,278,105	346,013,630	75,169,073	8,356,433	14,269,602	446,212	7,575	145,861	600,686,490	97%
SEP	655,445,175.00	127,052,268	434,602,758	62,907,410	7,972,542	1,633,365	922,251	379,114		635,469,708	97%
OCT	934,388,744.00	165,138,206	607,589,647	125,113,714	6,290,912	3,610,394	1,351,511			909,094,383	97%
NOV	1,299,584,693.00	181,678,467	964,394,092	93,050,345	14,968,002	4,850,618				1,258,941,524	97%
DEC	1,538,622,817.00	232,544,131	1,032,165,040	211,813,401	16,343,994					1,492,866,566	97%
JAN	1,528,703,163.00	109,282,626	1,208,506,635	158,036,918						1,475,826,179	97%
FEB	1,706,316,848.00	146,646,838	1,363,479,664							1,510,126,502	89%
MAR' 31ST	1,683,250,216.00	209,457,140								209,457,140	12%

Continuous Growth in Agency Banking

Focus on Variable cost model…

- Number of agents increased to **25,388 agents. 31% growth y/y**
- Agent transactions registered a **26.2% growth**
- More transactions now processed under 3rd party infrastructure

… More transactions now processed under 3rd party infrastructure saving on fixed costs



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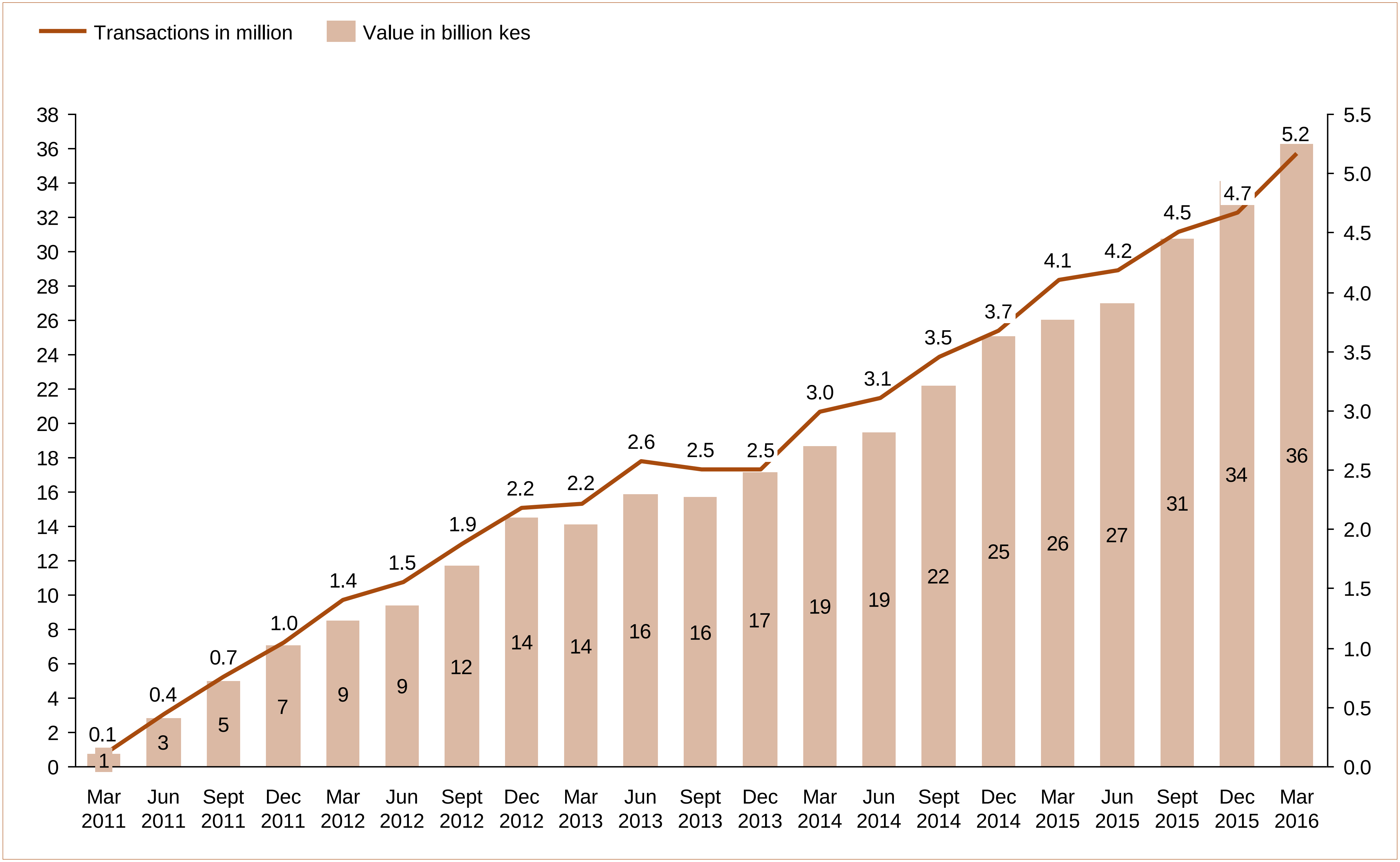
Number and Value of Agents Transactions 2011 - 2016



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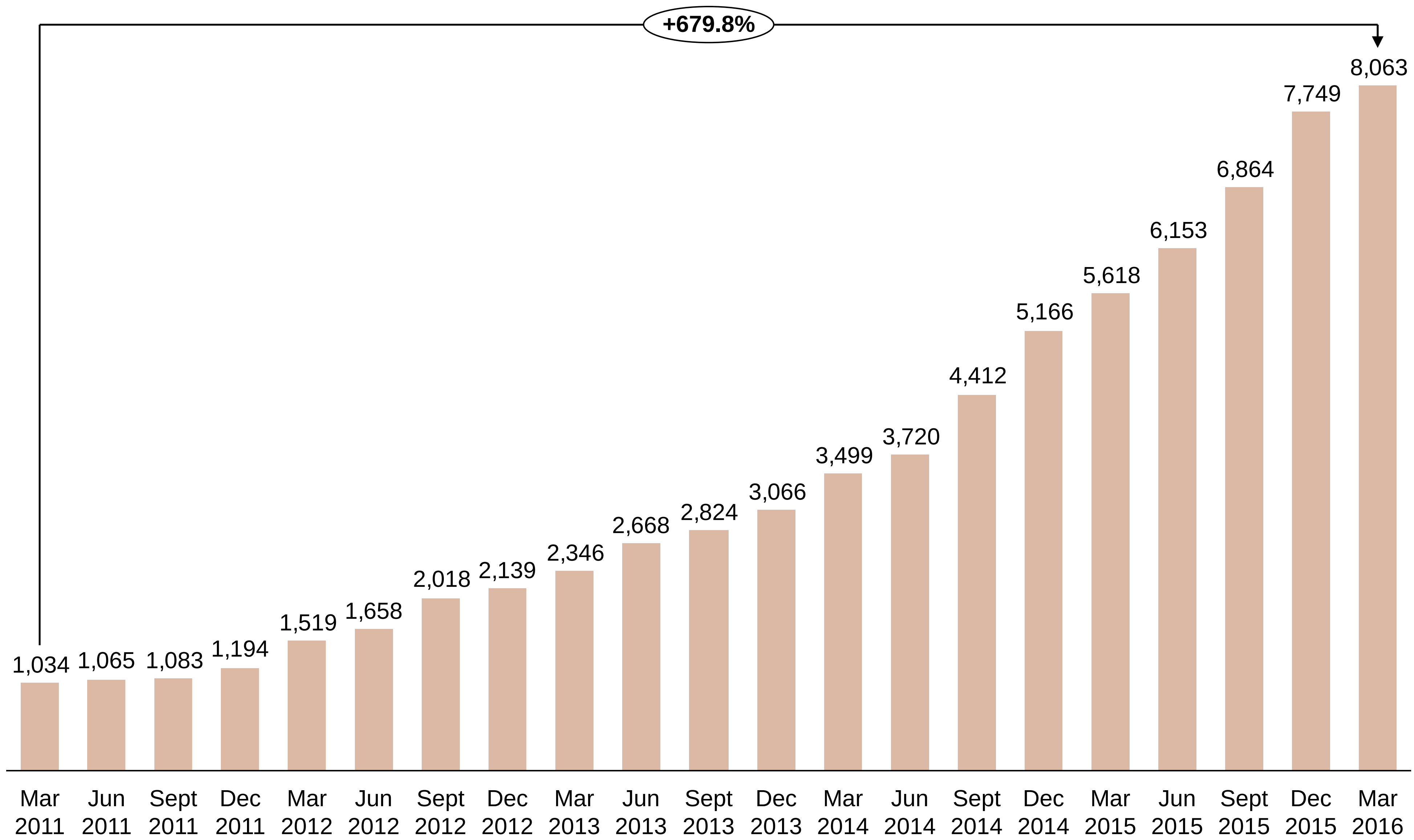
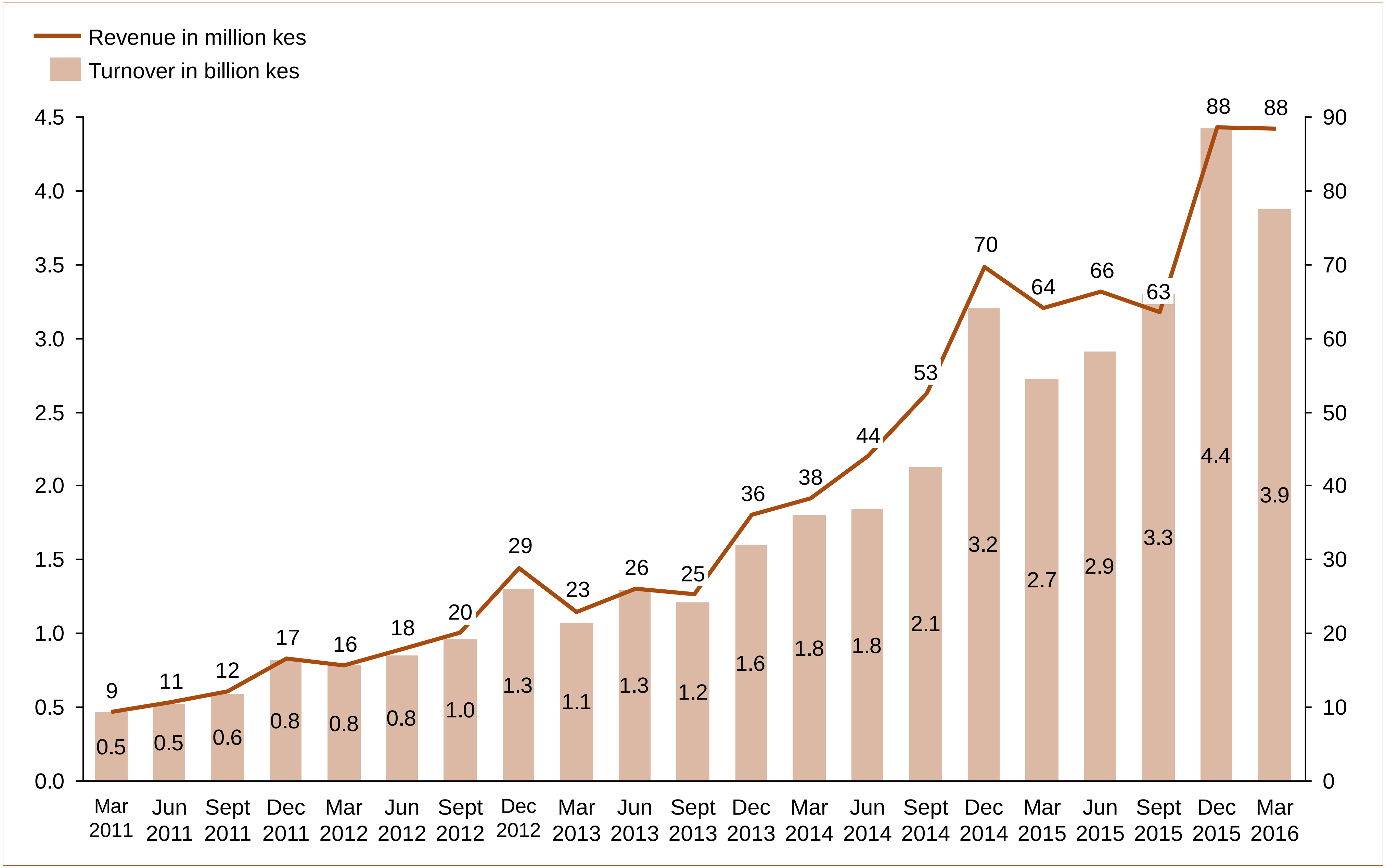
Number of Merchants Outlets 2011 - 2016



6 Merchants Turnover and Revenue 2011 - 2016

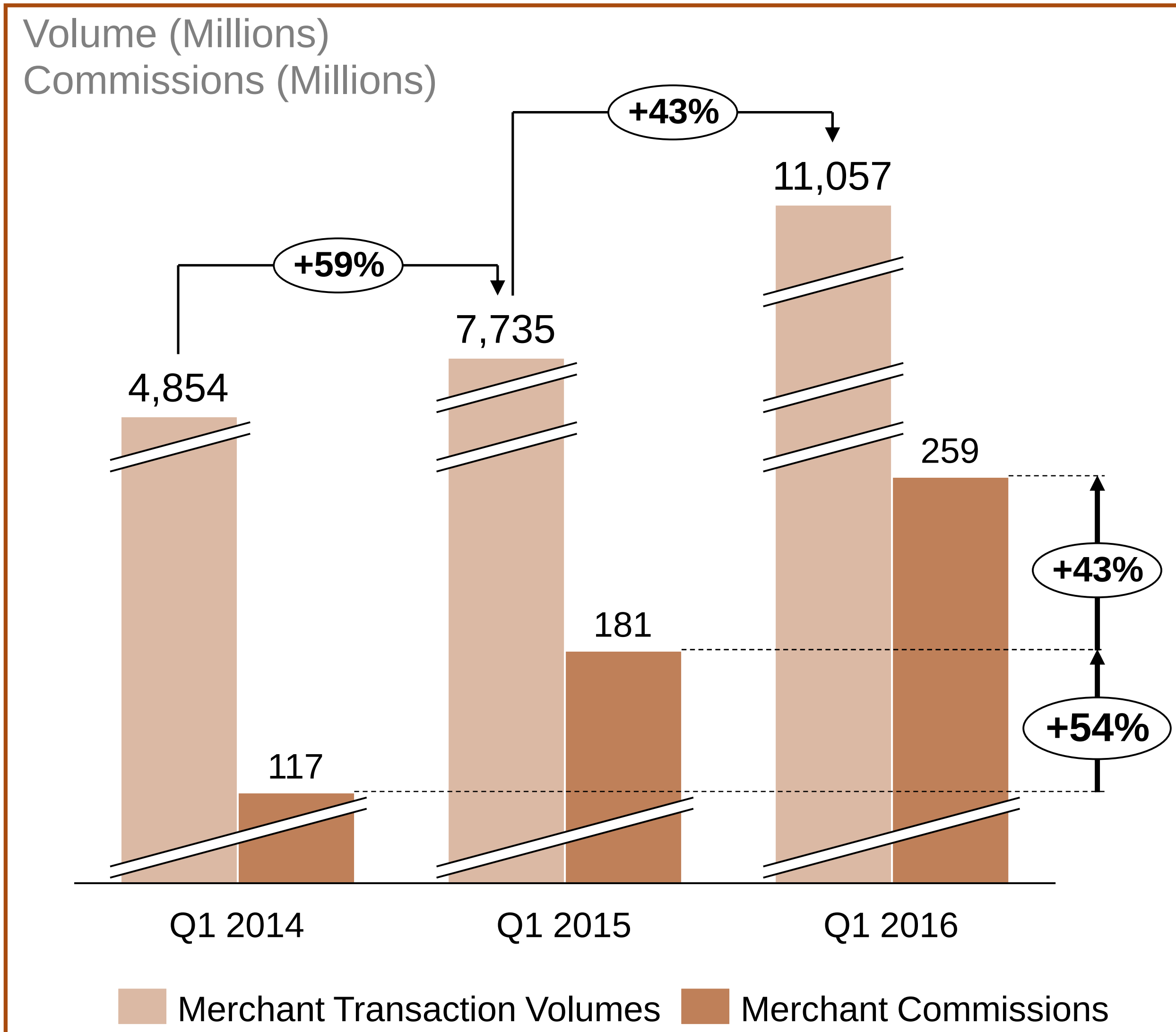


We are building on our momentum in Payment Processing and Merchants…

We have partnered with key payment companies…

- Equity is leading in **Acquiring and Issuing**
- **Best in class payment channel** services work well with merchants

…which has allowed us to grow our number of transactions and commissions



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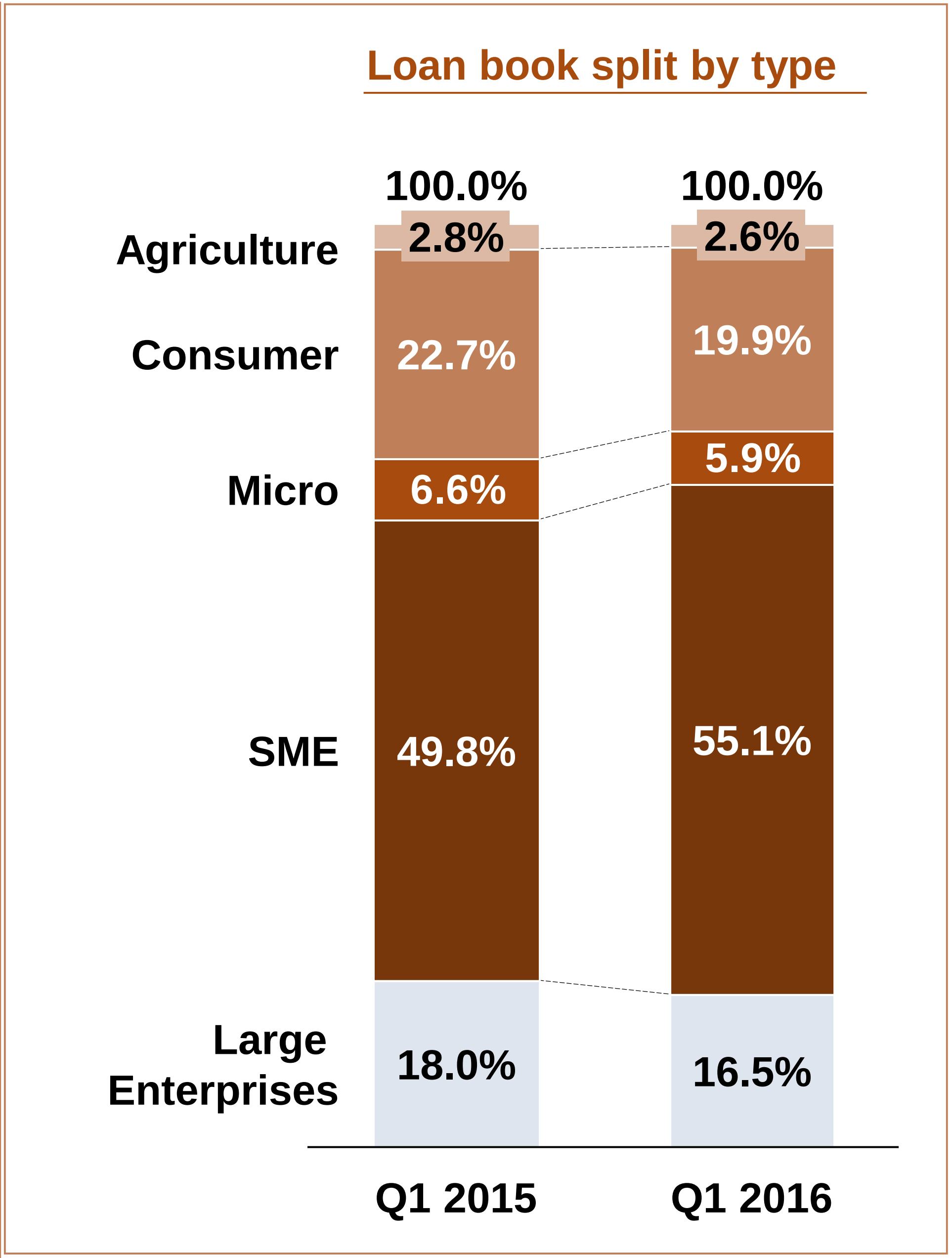
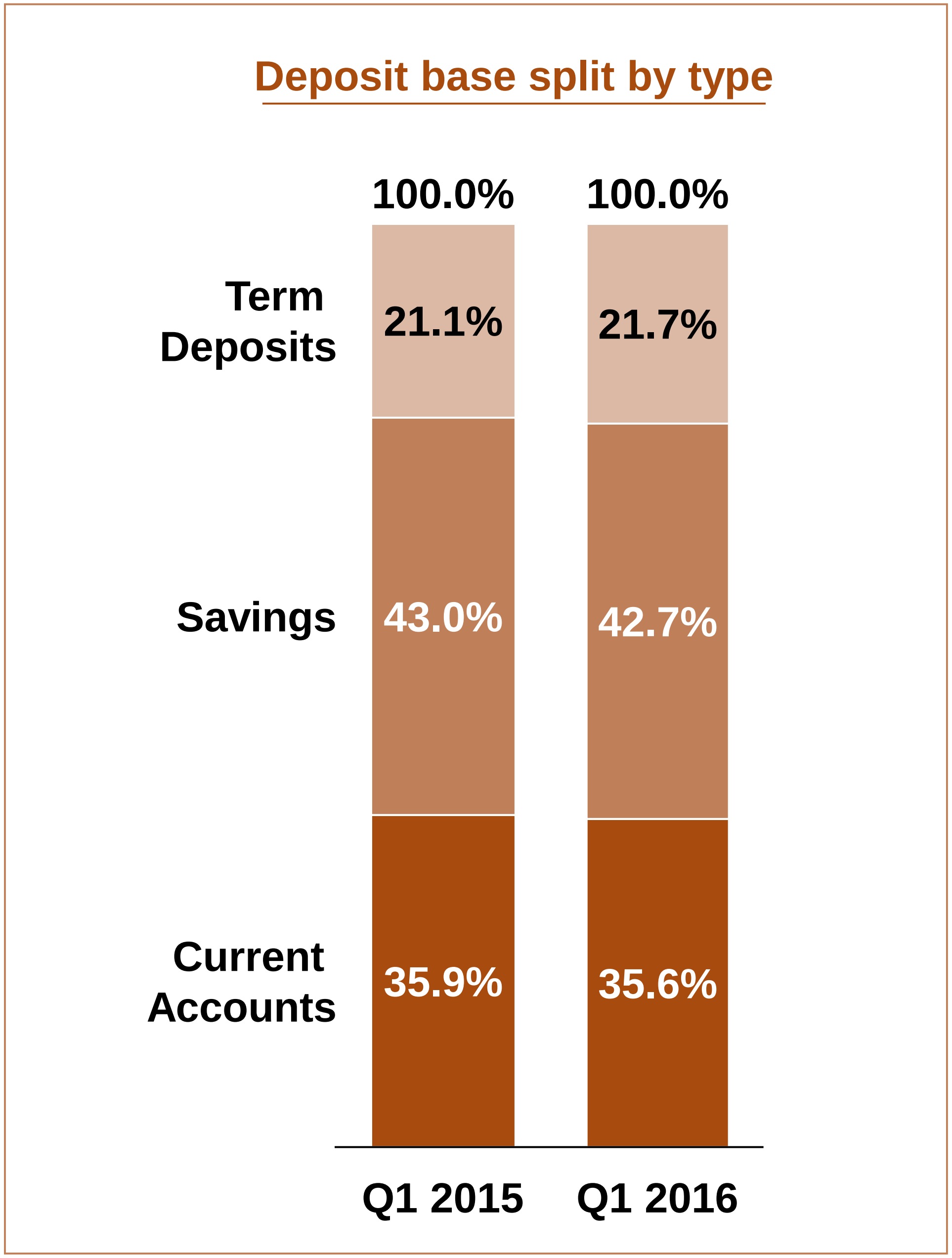
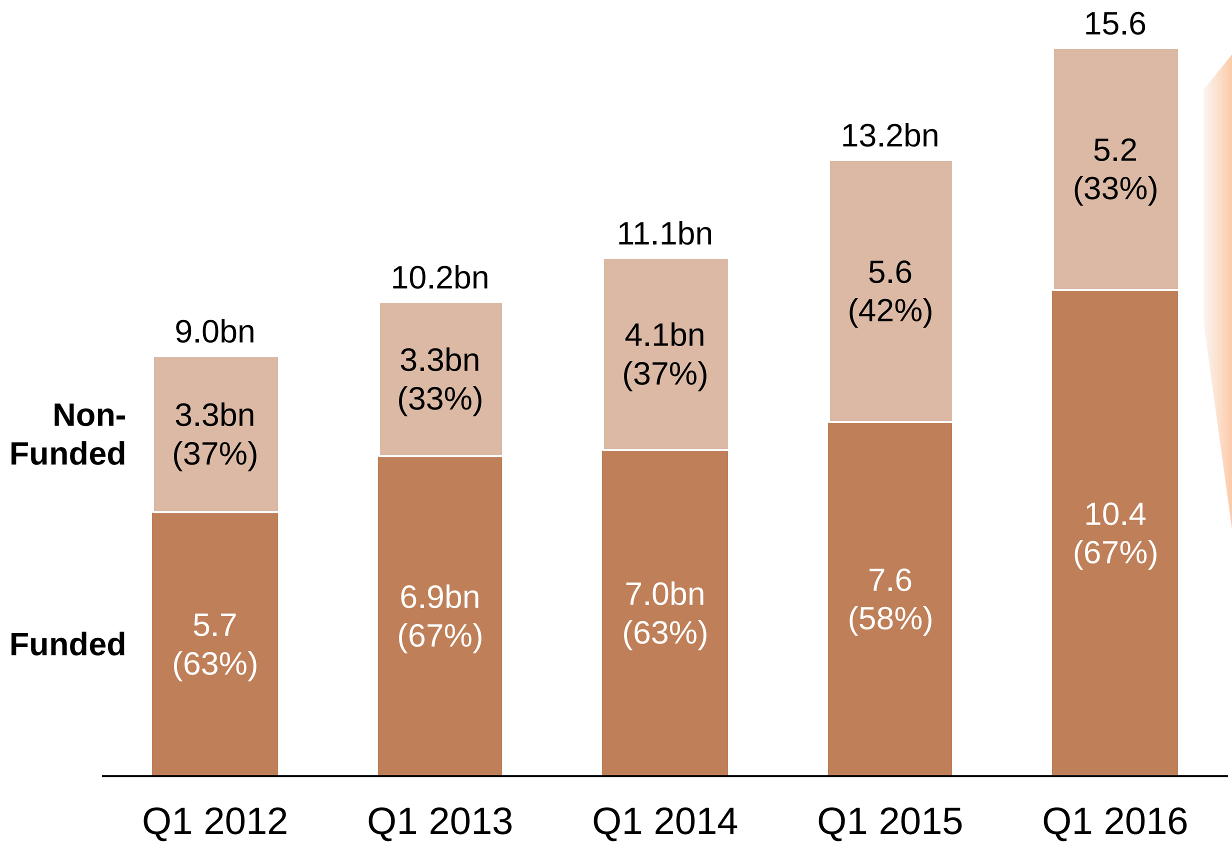
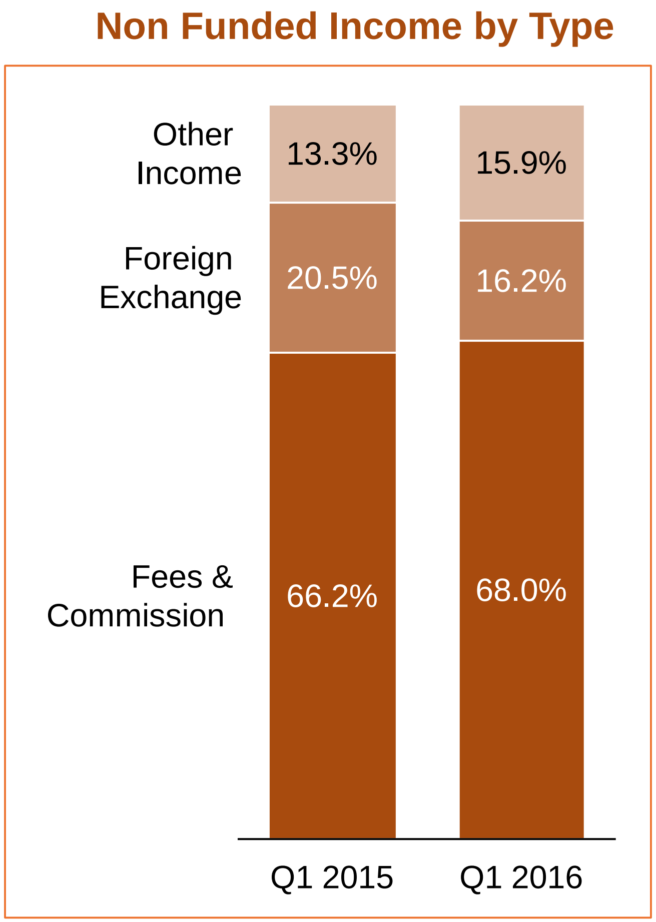
SME contribution to the Loan Book and CASA





5 Growing Non-funded Income as a result of cross-selling to SME's





Highlights

- Non Funded Income: Dropped by 7% YoY mainly due drop in to FX income and Commissions on Loans
- Funded Income: Interest Income grew by 37% YoY due to growth in loan book and improving NIMs

Presentation Outline

Equity has earned recognition in 2015

Equity's International Rankings

The Banker TOP 1000 WORLD BANKS 2015

Equity Bank	Overall	Soundness (Capital Assets Ratio)	Performance (Profits on capital)	(Return on assets)
2015 Global Rank	916	88	18	8
2014 Global Rank	999	112	8	4

Equity's Global Credit Rating

GCR GLOBAL CREDIT RATING CO.
Local Expertise • Global Presence

	Equity Bank Limited		
Kenya Bank Analysis			
Security Class	Rating Scale	Rating	Rating Outlook
Long term	National	AA-(KE)	Stable
Short term	National	A1+(KE)	

6

Equity Group's stock excites Globally

Reuters: Equity Group Holding yielding a higher return at a lower risk

STOCK	Beta	Yield (%)	ROaE	Yield per unit of Risk (Yield/Beta)
KCB	1.44	4.68%	25.0%	3.25%
EGHL	1.28	4.88%	25.5%	3.81%
COOP	1.18	4.10%	25.2%	3.47%

Financial Times: Equity Group Holding to outperform the market in 2016

FINANCIAL TIMES

ft.com > markets >

Markets Data

Summary | Business profile | Directors & dealings | Financials | Forecasts

Consensus recommendation

As of Apr 22, 2016, the consensus forecast amongst 12 polled investment analysts covering Equity Group Holdings Ltd advises that the company will outperform the market. This has been the consensus forecast since the sentiment of investment analysts improved on Jan 14, 2016. The previous consensus forecast advised investors to hold their position in Equity Group Holdings Ltd.

6 Equity Bank – Most valuable lender listed at the NSE

BUSINESS DAILY Tuesday May 10, 2016

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MONEY MARKETS

Foreigners push Equity Bank stock past KCB at the bourse

SHARE BOOKMARK PRINT RATING

By GEORGE NGIGI, gngigi@ke.nationmedia.com

Posted Sunday, May 8 2016 at 14:56

IN SUMMARY

- Equity Bank's market capitalisation has risen to Sh150 billion compared to KCB's Sh120 billion.
- Foreign investors have been buying into Equity for the last four months while exiting KCB.

Foreign investors have pushed Equity Bank past KCB to become the most valuable lender listed at the Nairobi Securities Exchange (NSE).

Market capitalisation of banks listed at the NSE

Bank	Market Cap (Sh Bn)
Equity	150.9
KCB	120.2
Co-Op Bank	91.6
Stan. Chart.	61.5
Barclays	57.5
DTBK	48.1
I&M Holdings	42.3
CFC Stanbic	36.1
NIC Bank	23.9
HF	7
NBK	2.9

Source; NSE

Equity Bank: Winner Best Bank in Kenya

Overall Winner Best Bank in Kenya (2016, 2015, 2014 East Africa, 2013, 2012, 2009)

Winner Best Bank Tier 1 (2016, 2015, 2014 East Africa, 2013, 2012)

Equity Bank: Winner Best Bank in SME Banking

Best Bank in SME Banking (2016, 2015)

Equity Bank: Winner Best Bank in Retail Banking

Best Bank in Retail Banking (2016, 2015)

6 Equity Bank: Winner Best Bank in Agency Banking

Best Bank in Agency Banking (2016, 2015)

Equity Bank: Winner Best Bank in Micro-Finance

Best Bank in Micro-Finance (2016, 2015, 2012, 2011, 2010, 2009)

6

Equity Bank: 1st Runner Up Best Bank in Customer Satisfaction

(1st Runner up 2016, 2nd Runner up 2015)

Equity Bank: 2016 Other Awards

Equity Bank: 2016 Other Awards

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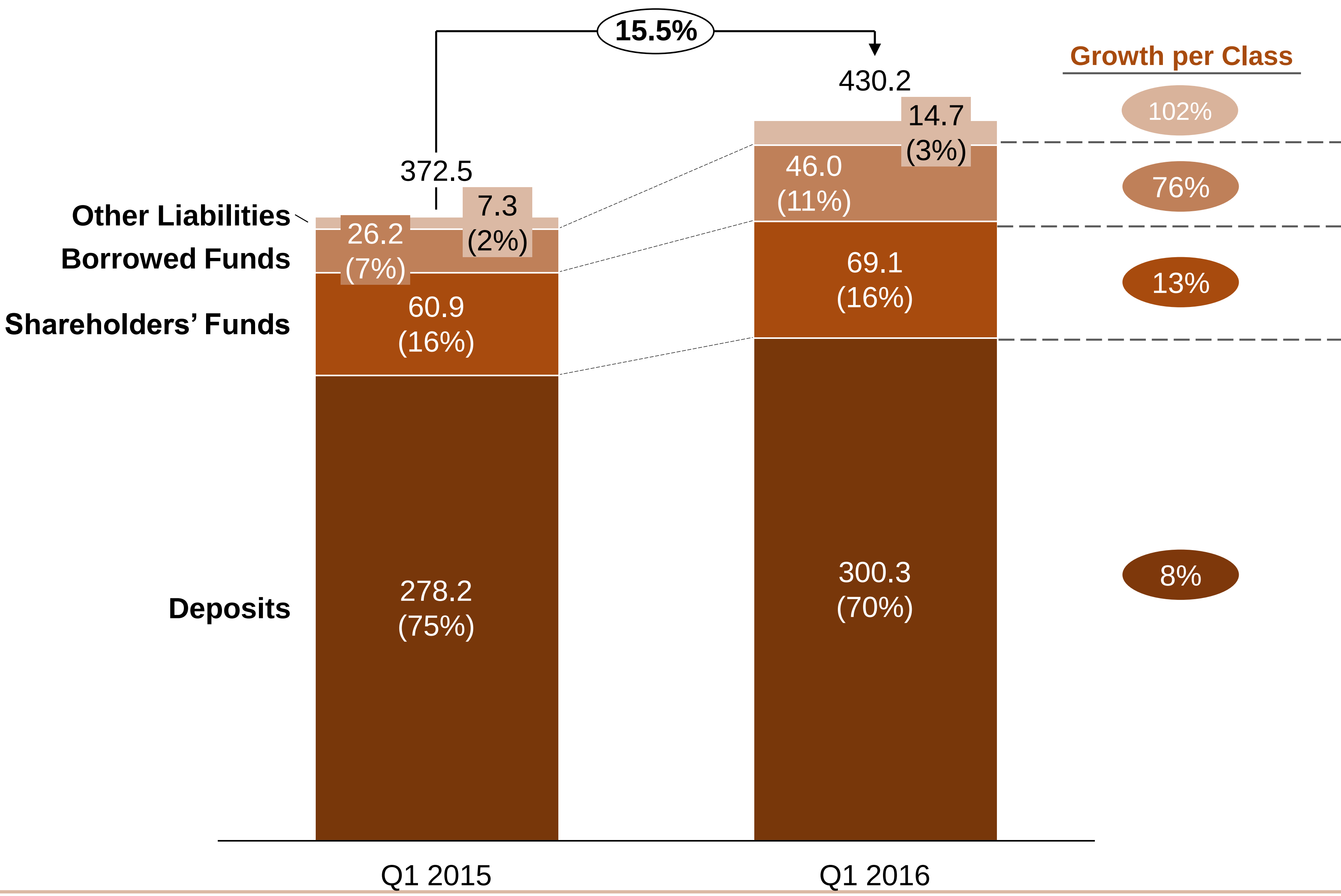
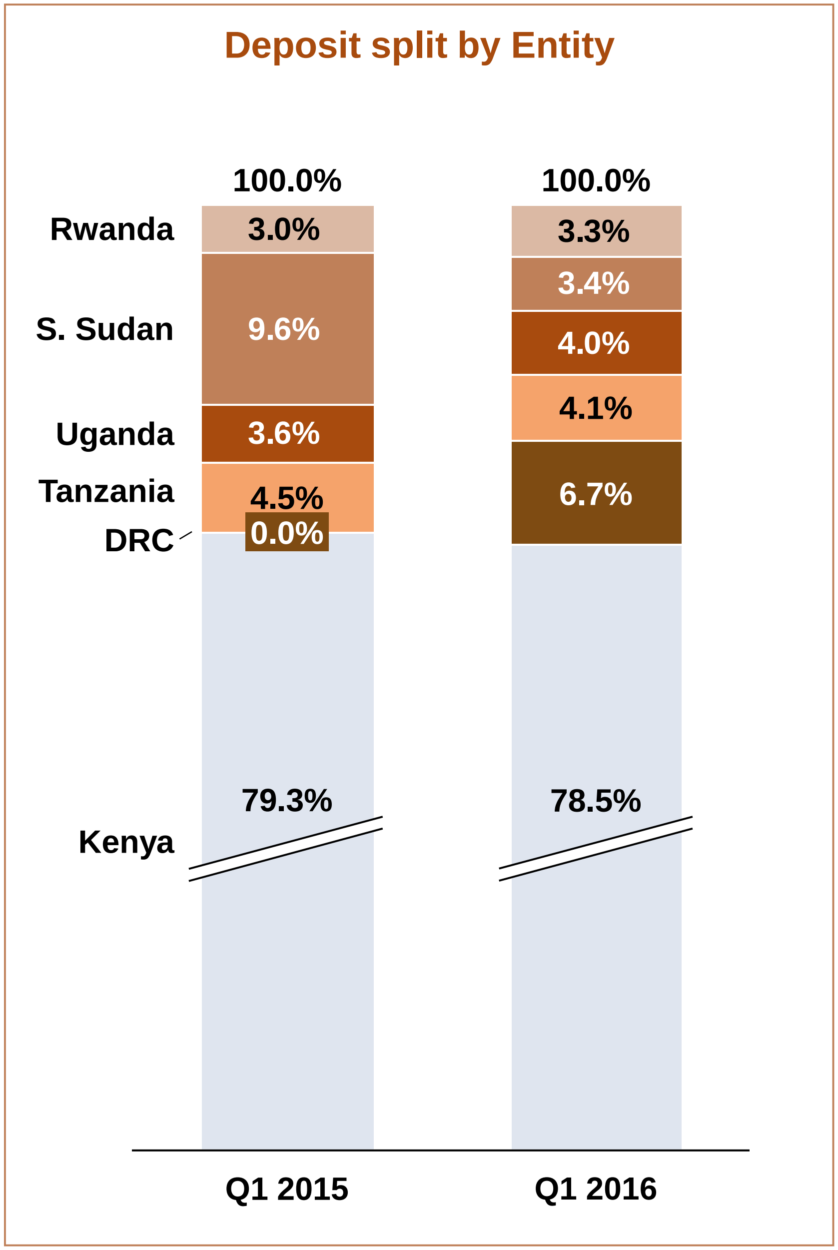
Funding Base
(Significant improvement in funding profile)

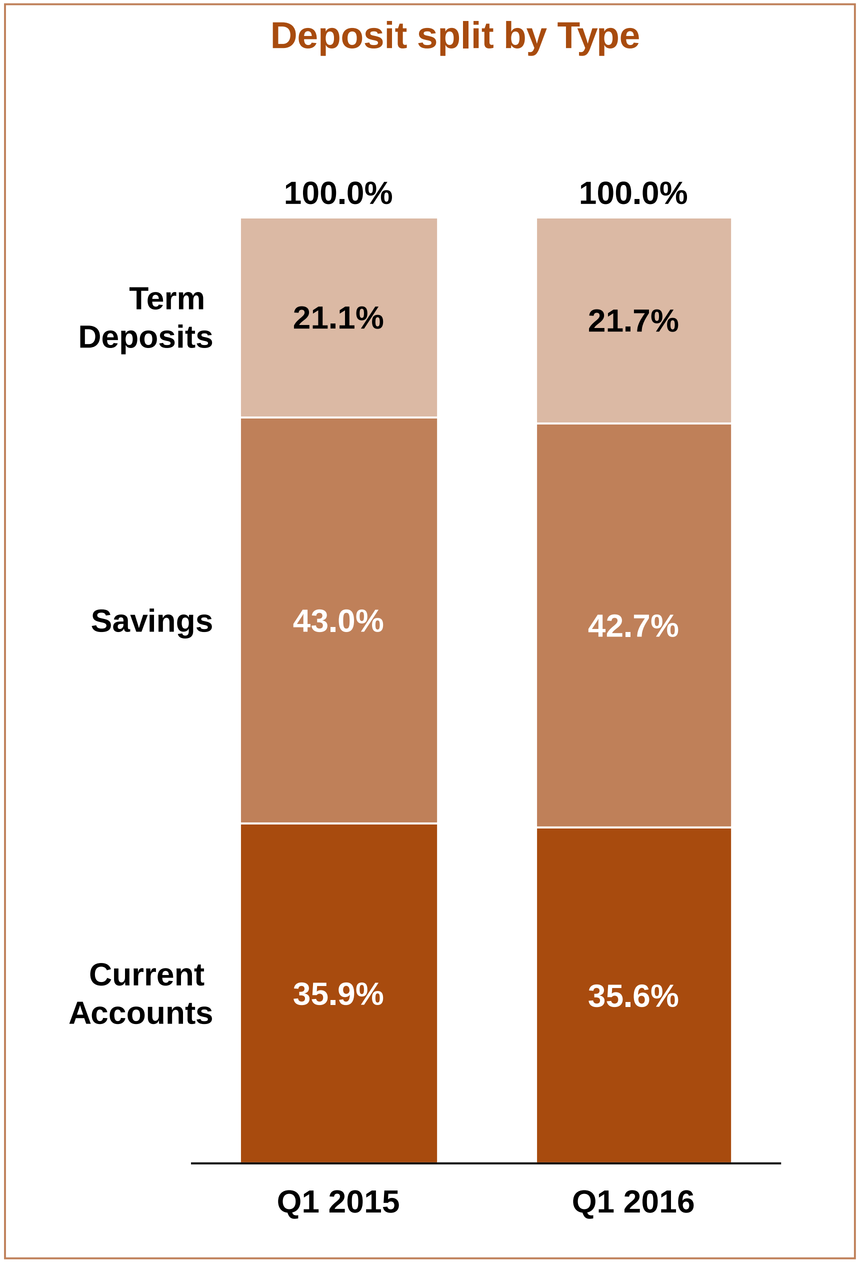
In KES "Billion"

15.5% growth in funding with deposits accounting for 70%



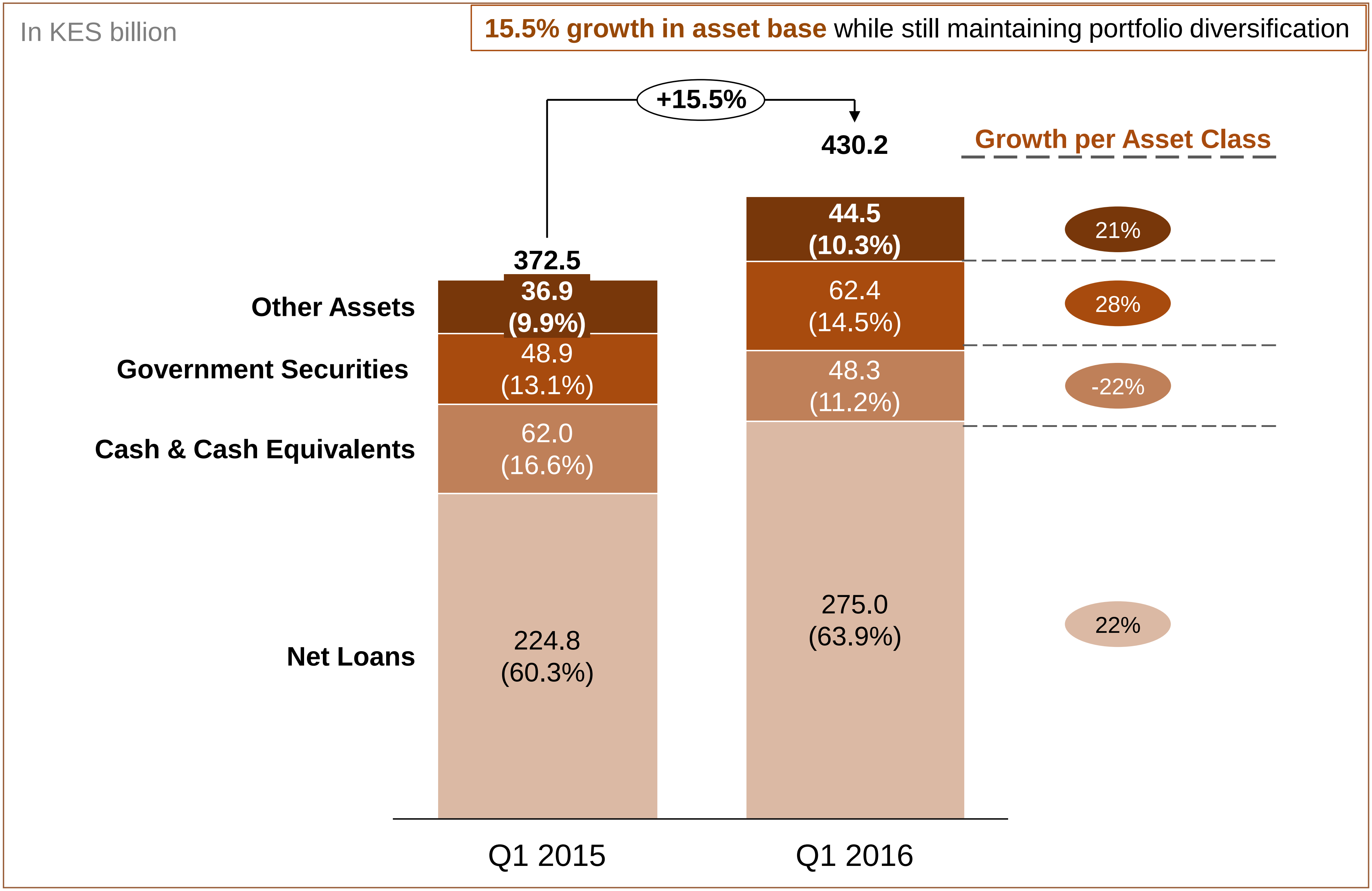
Deposits by Entity & Type





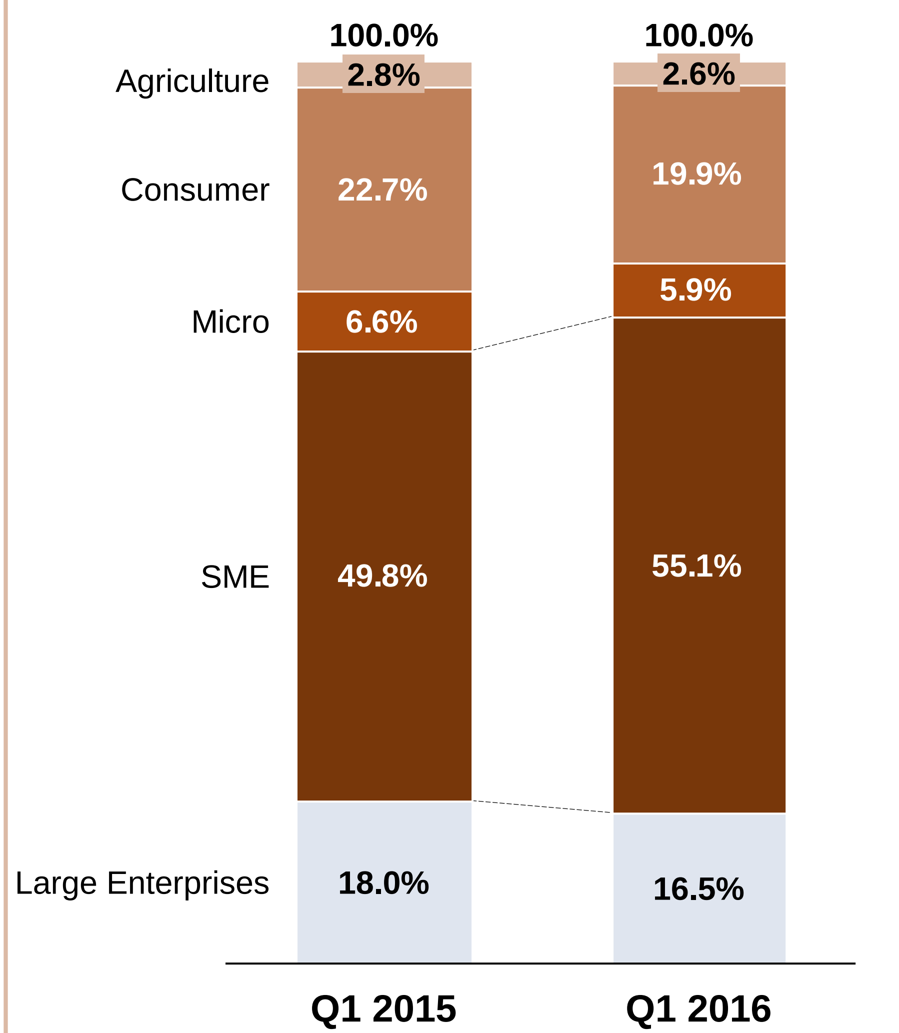
7 Assets of KSH 430 Billion driven by stable Deposit base

15.5% growth in asset base while still maintaining portfolio diversification

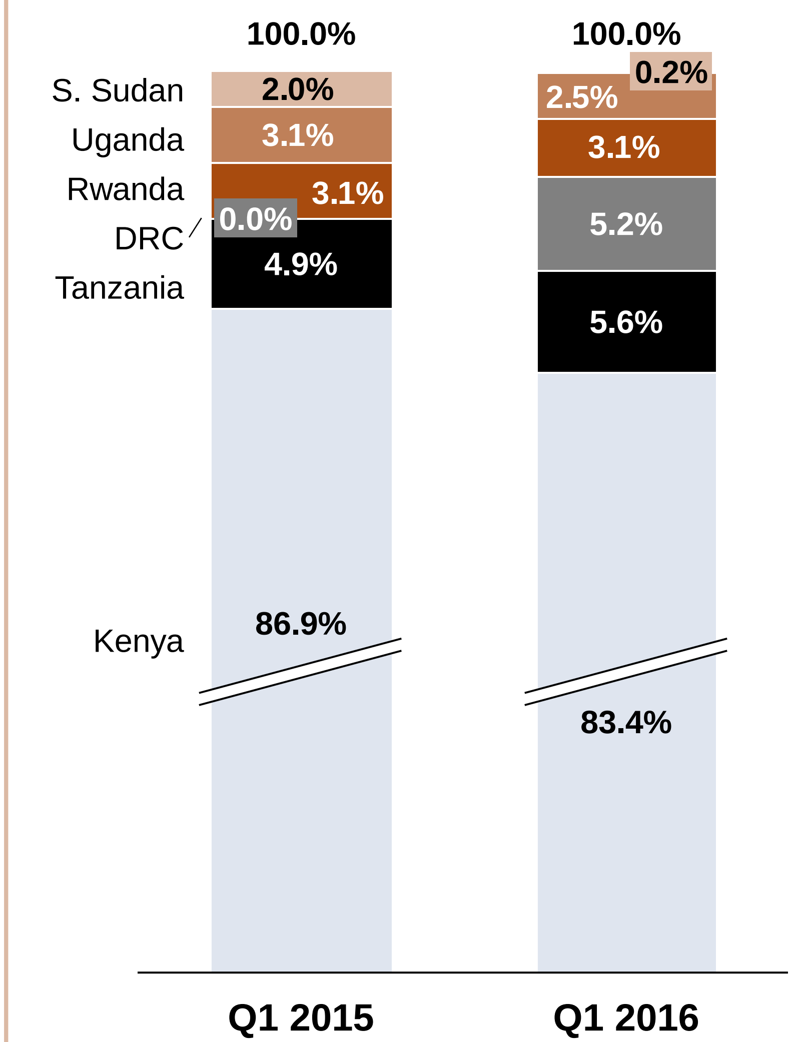


Loan book by Segment and Entity

Split across Segments

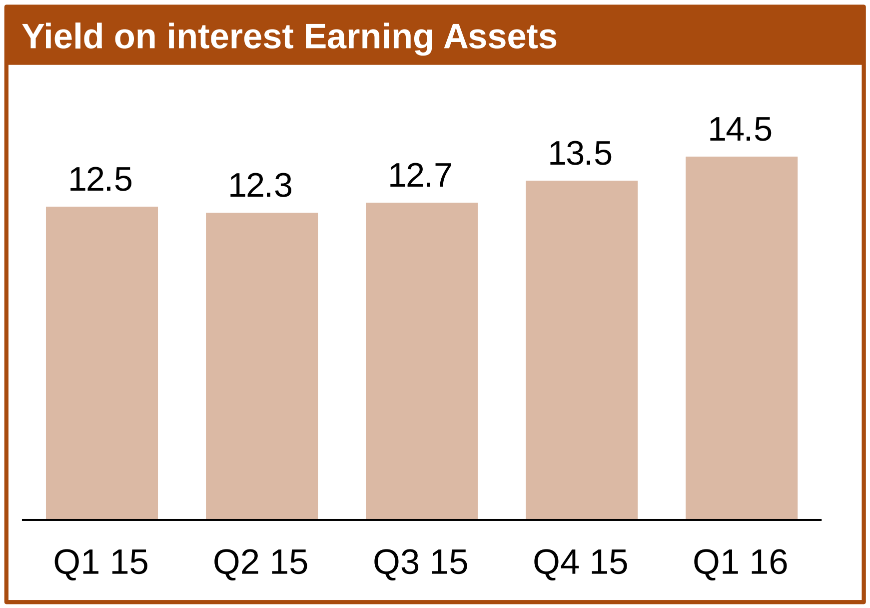


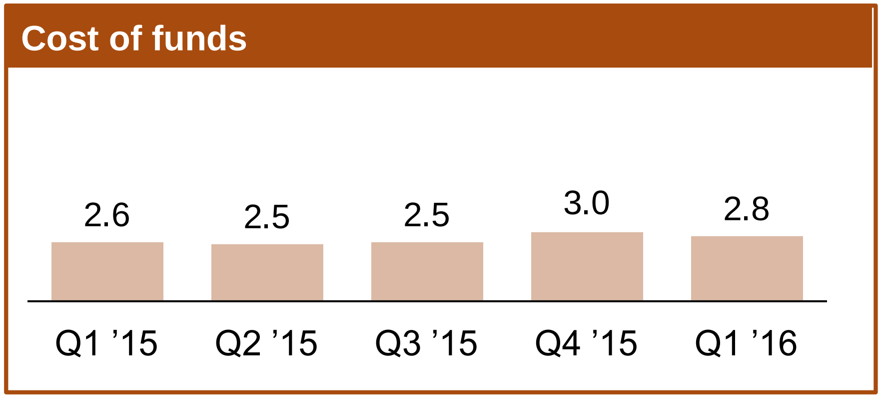
Split across the entities within the Group

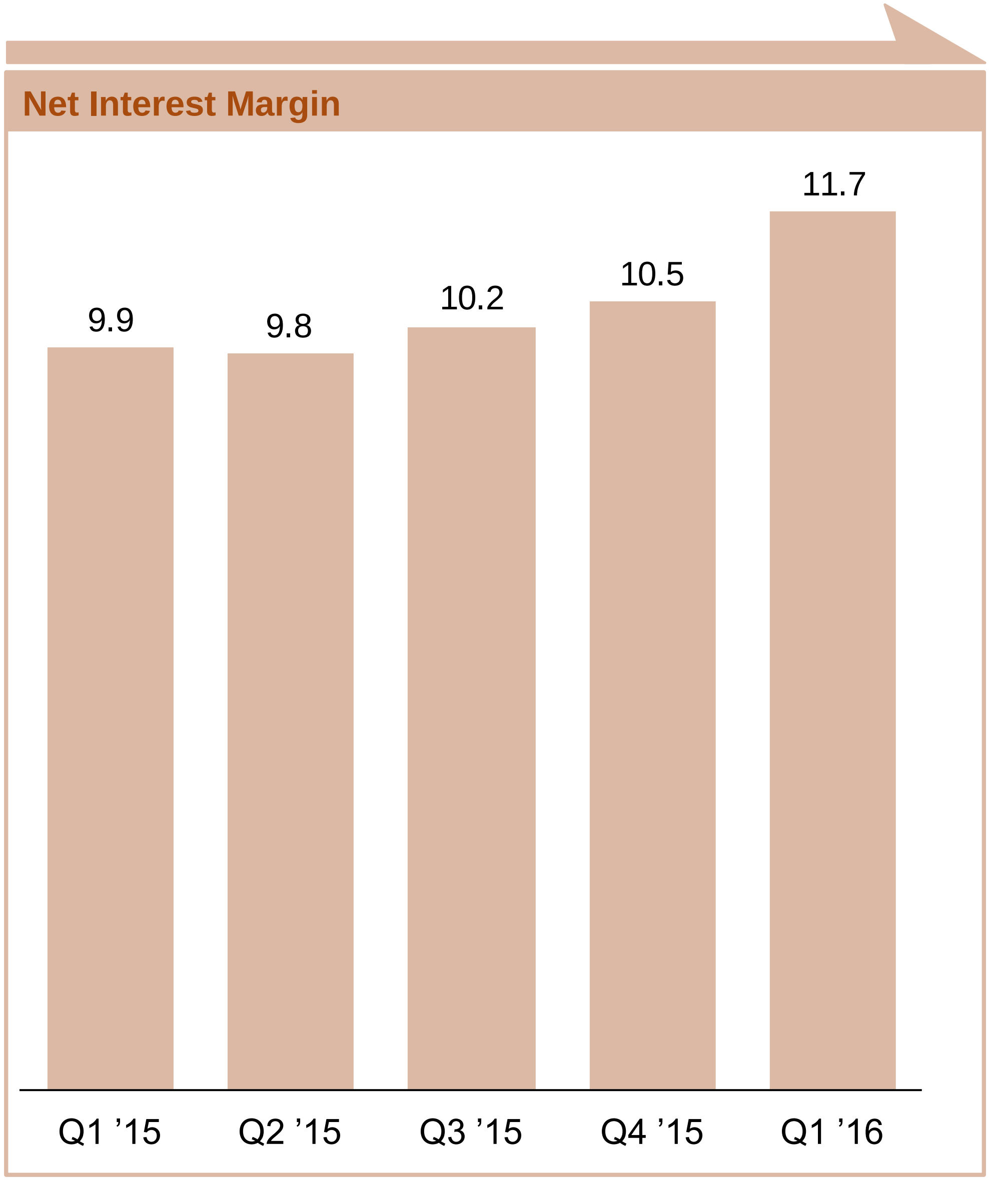


Increasing Net Interest Margin

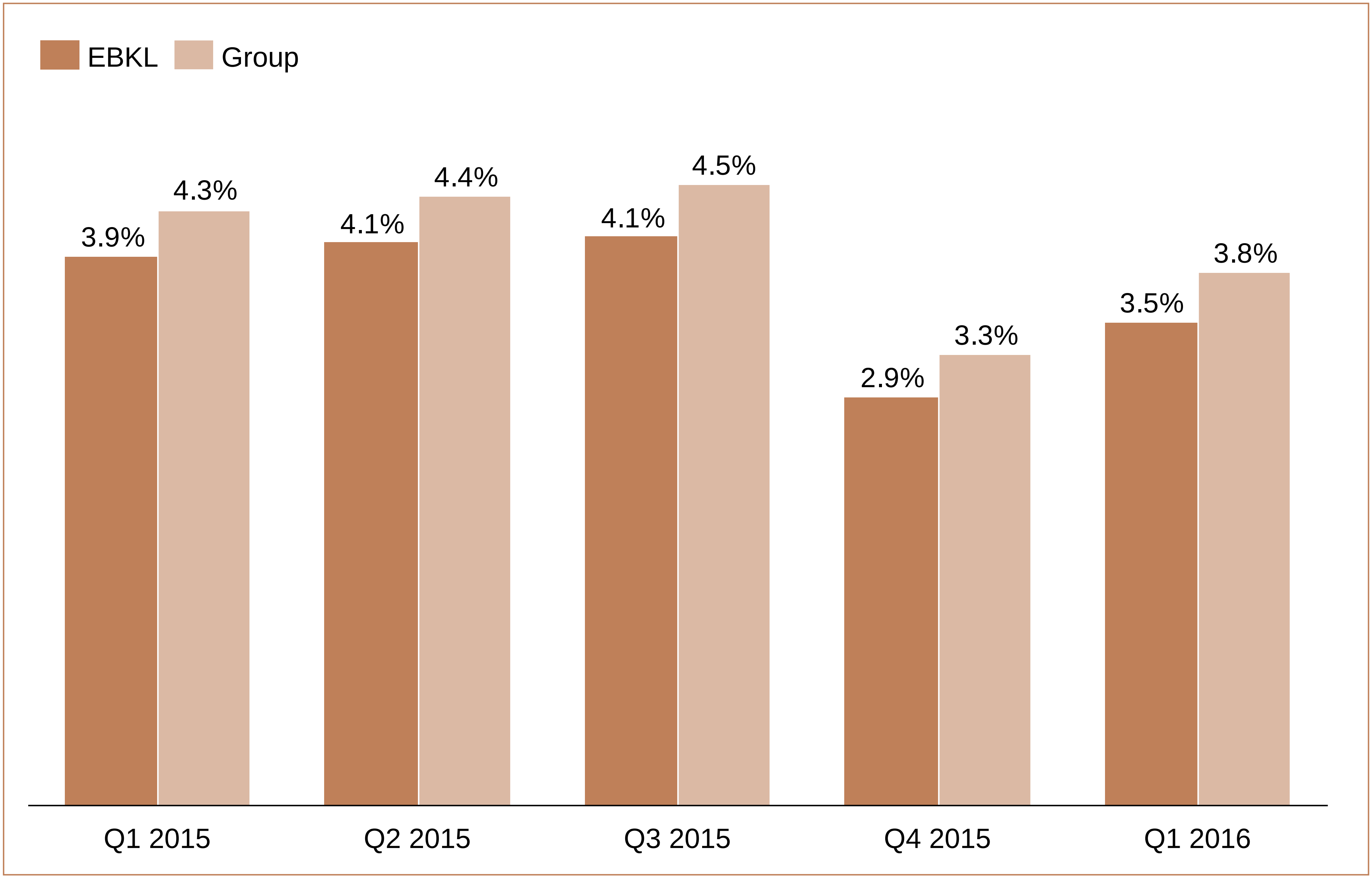
Percentage



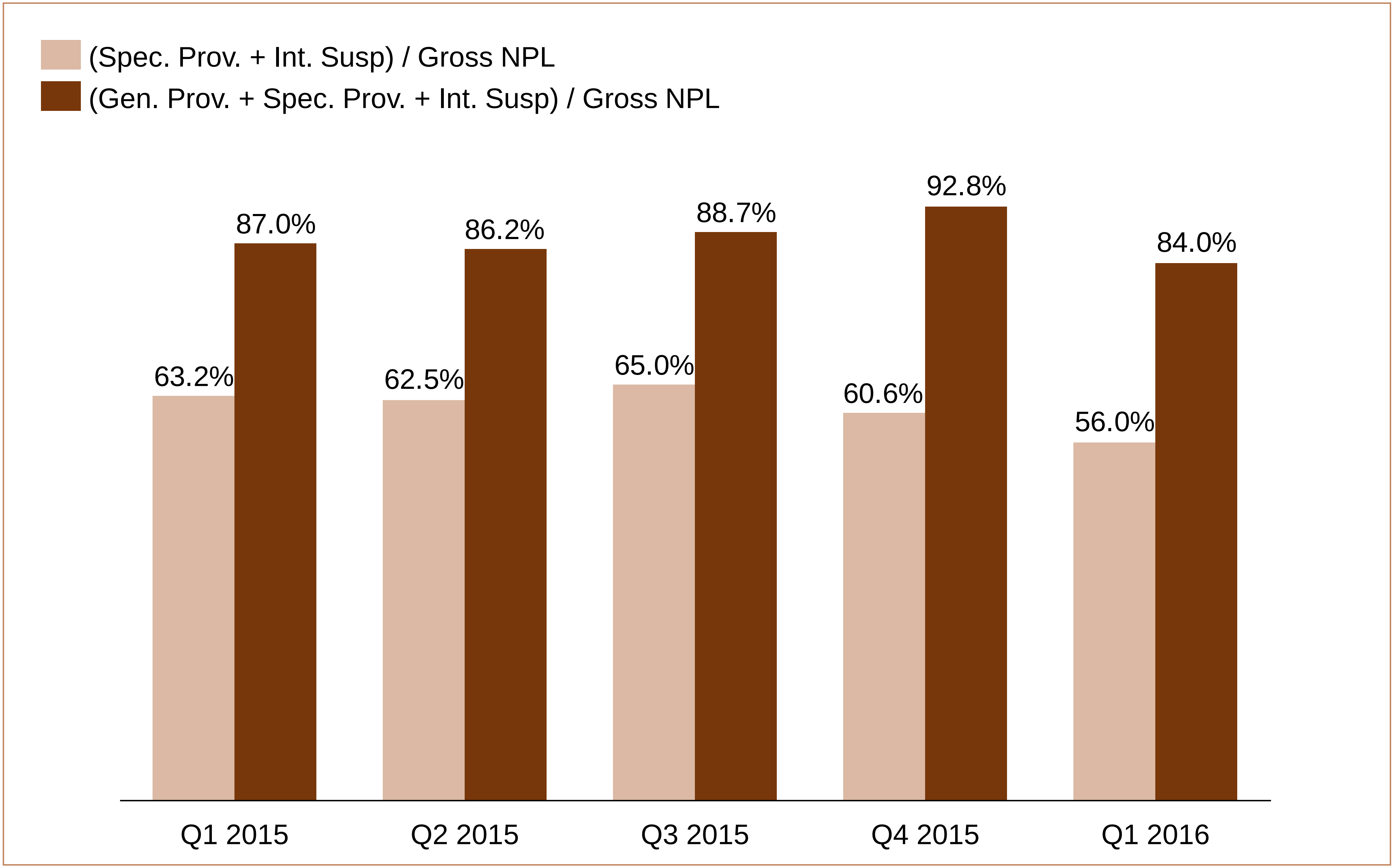




7 Stable NPL Trend over time



Non-Performing Loans: High Coverage Levels



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5. SME strategy
6. Qualitative analysis
7. Performance of core business (intermediation)

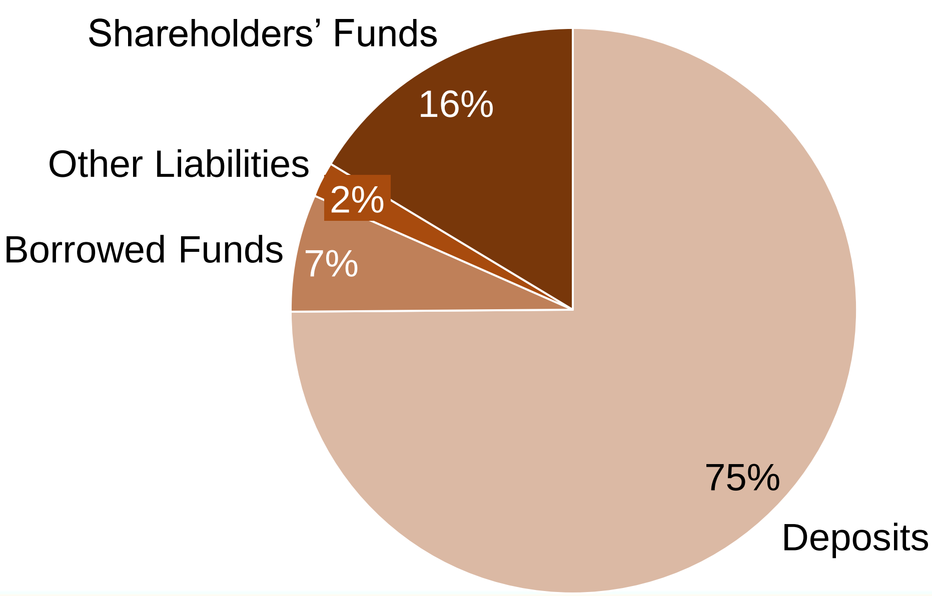
8. Financial performance

Broad base liabilities & funding sources

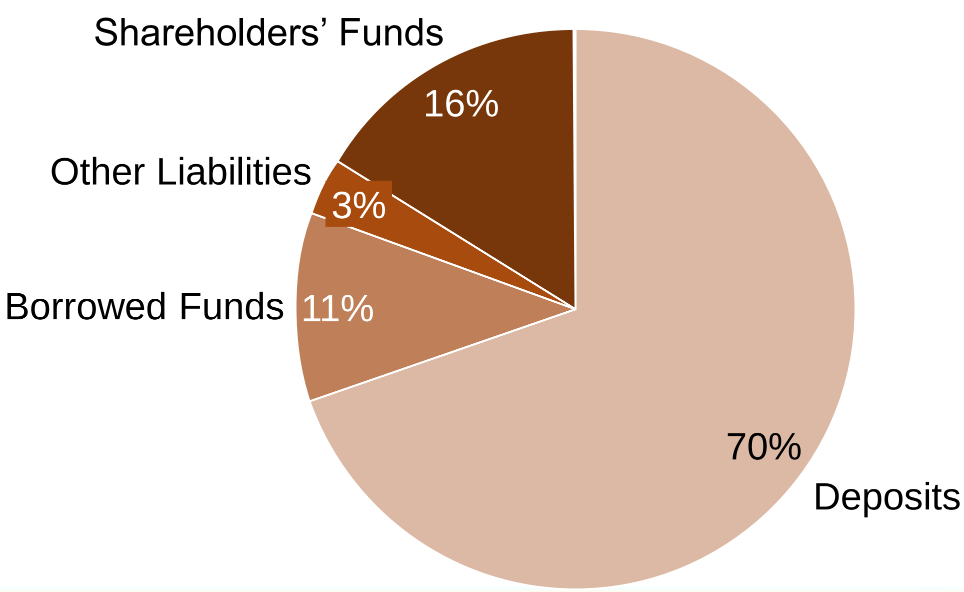
	Q1 2015	Q1 2016	Growth Y/Y
Liabilities & Capital (Bn)	**KSH**	**KSH**	**%**
Deposits	278.2	300.3	8%
Borrowed Funds	26.2	46.0	76%
Other Liabilities	7.3	14.7	102%
Shareholders' Funds	60.9	69.1	13%
Total Liabilities & Capital	**372.5**	**430.2**	**15%**

Funding Distribution

Q1 2015



Q1 2016

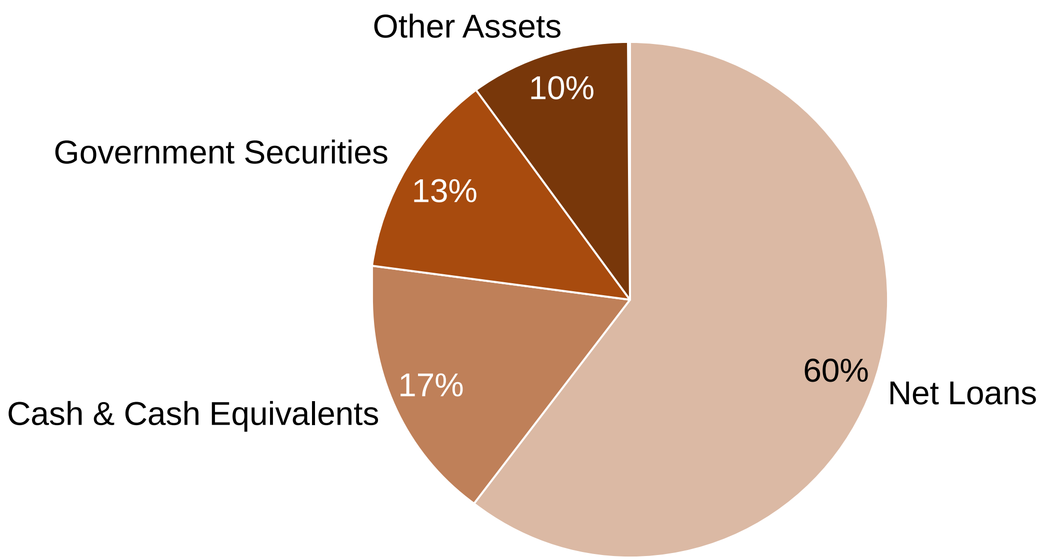


Asset Portfolio & Distribution

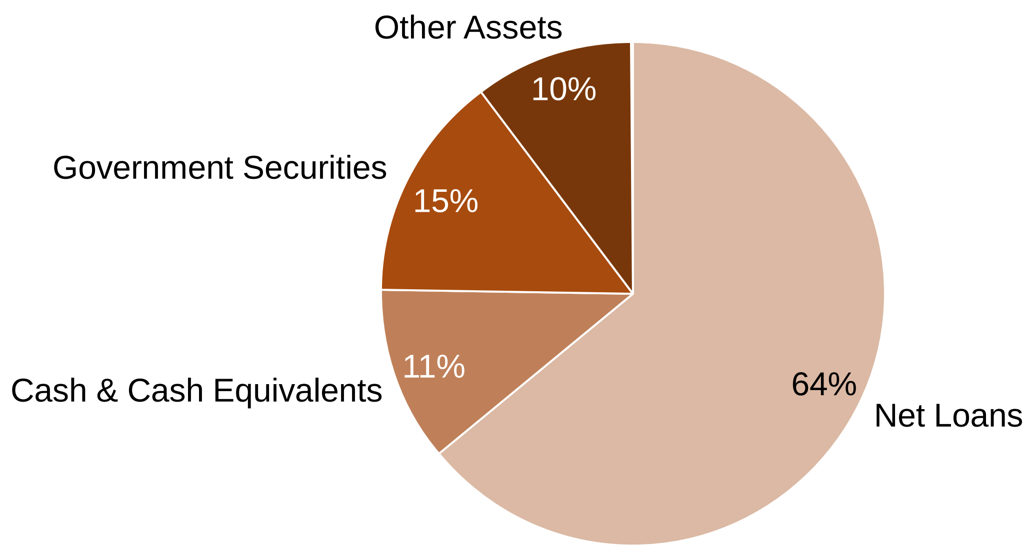
	Q1 2015	Q1 2016	Growth Y/Y
Assets (Bn)	**KSH**	**KSH**	**%**
Net Loans	224.8	275.0	22%
Cash & Cash Equivalents	62.0	48.3	-22%
Government Securities	48.9	62.4	28%
Other Assets	36.9	44.5	21%
Total Assets	**372.5**	**430.2**	**15%**

Asset Distribution

Q1 2015



Q1 2016



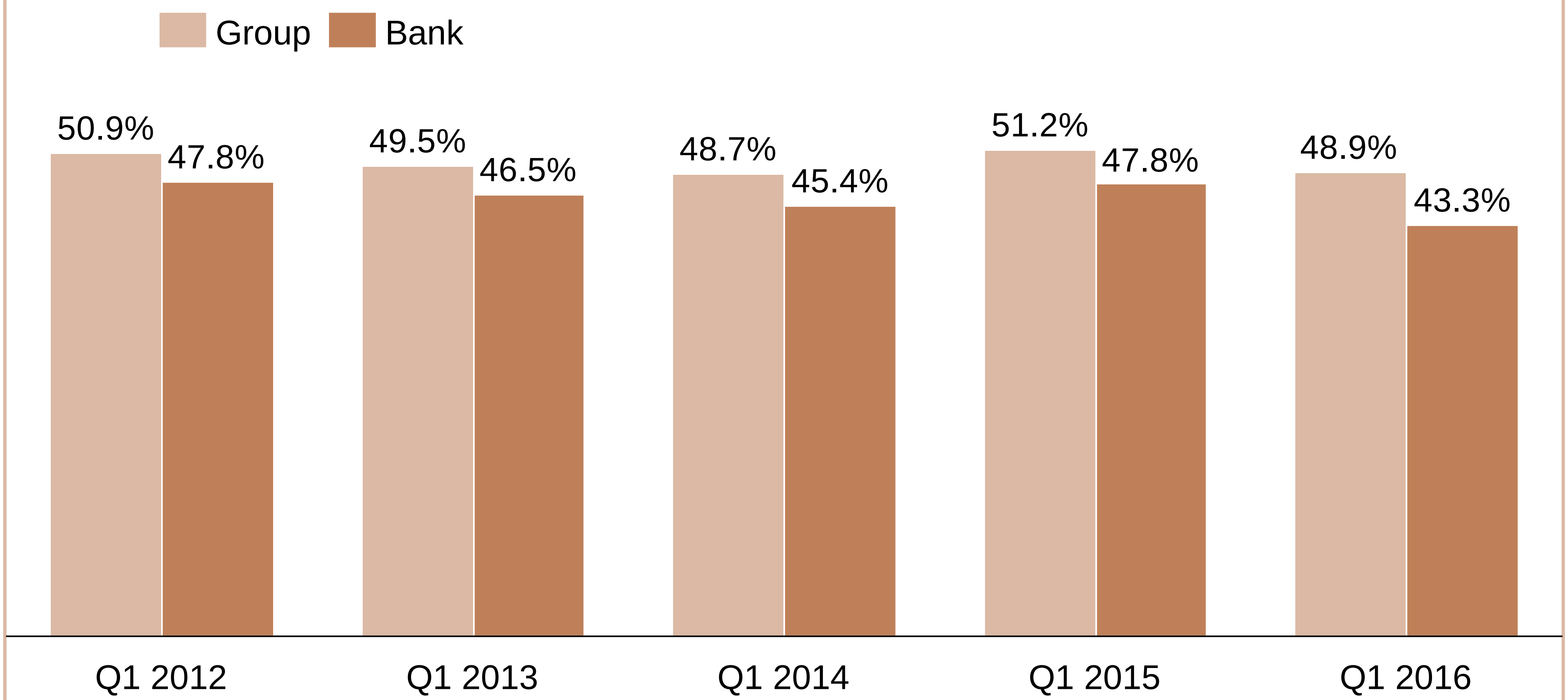
Delivering 20% growth in PAT

KES (Billion)	Q1 2015	Q1 2016	Growth
Interest Income	9.5	12.9	36%
Interest Expense	(1.9)	(2.4)	32%
Net Interest Income	7.6	10.4	37%
Non-Funded Income	5.6	5.2	-7%
Total Income	13.2	15.7	18%
Loan Loss Provision	(0.3)	(0.7)	104%
Staff Costs	(2.5)	(3.0)	21%
Other Operating Expenses	(4.3)	(4.7)	8%
Total Costs	(7.1)	(8.4)	17%
PBT	6.1	7.3	19%
Tax	(1.8)	(2.2)	19%
PAT	4.3	5.1	20%

Positive Financial Ratios

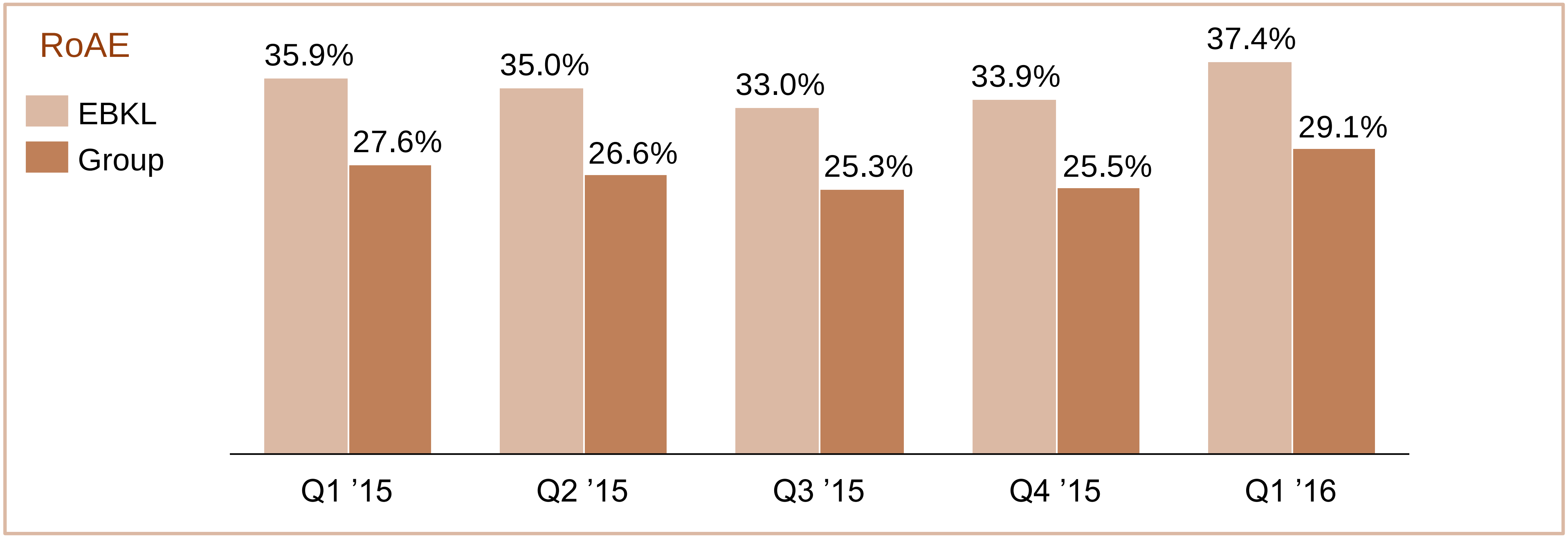
	Kenya Q1 2015	Kenya Q1 2016	Group Q1 2015	Group Q1 2016
Profitability				
NIM	10.9%	12.8%	9.9%	11.7%
Cost to Income Ratio (with provisions)	50%	46%	54%	53%
Cost to Income Ratio (without provision)	48%	43%	51%	49%
RoAE	35.9%	37.4%	27.6%	29.1%
RoAA	5.2%	5.4%	4.8%	4.8%
Asset Quality				
Cost of Risk	0.46%	0.67%	0.63%	1.03%
Liquidity / Leverage				
Loans / Deposits	86.5%	94.0%	80.8%	91.6%
Loans / (Deposits + Borrowed Funds)	77.8%	79.8%	73.8%	79.4%
Loans / (Deposits + Borrowing Funds + S/H Funds)	66.1%	67.5%	61.5%	66.2%
Liquidity	32.9%	29.4%	39.3%	34.9%
Capital Adequacy Ratios				
Core Capital to Risk Weighted Assets	14.7%	14.8%	16.2%	18.3%
Total Capital to Risk Weighted Assets	16.8%	16.1%	18.2%	19.6%
Core Capital to Deposits Ratio	18.5%	20.5%	18.8%	24.2%
Customer Numbers				
No. of Customers	8,274,425	8,971,514	9,547,596	10,313,468

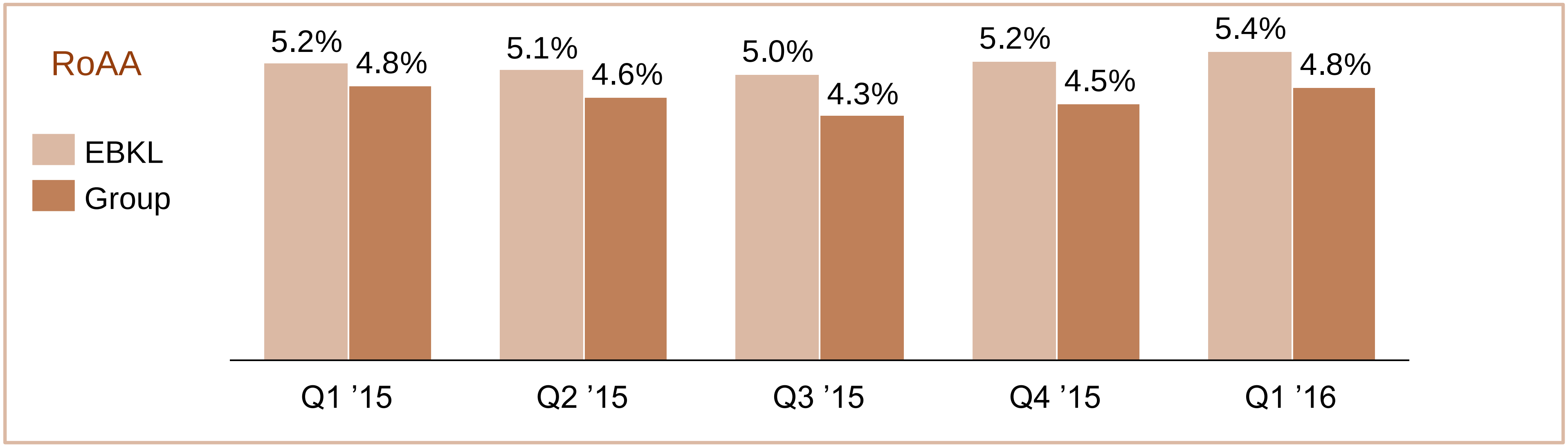
Cost to Income Ratio Trend



- **Total Operating Income** up **18%** y/y mainly attributed to improved NIM
- **Operating expenses** up **17%** y/y

RoAA and RoAE overtime





THANK YOU

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